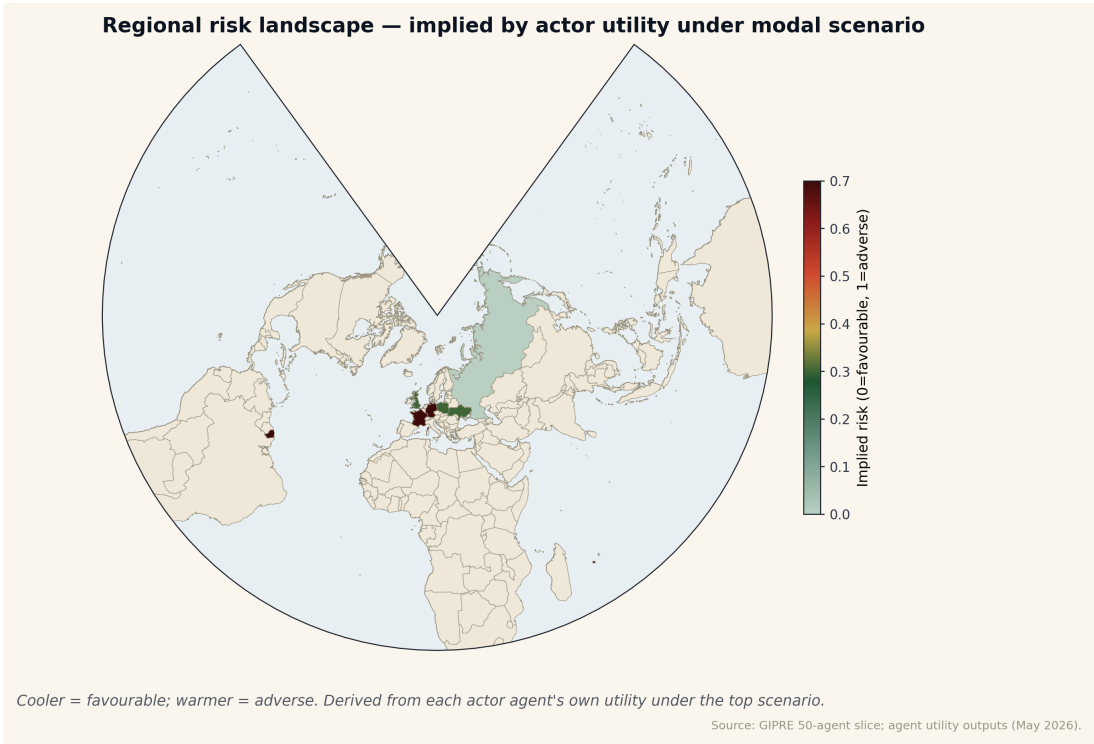


REGIONAL BRIEF

GIPRE Regional Brief — Europe

All-horizons regional outlook — May 2026



The GIPRE Master Library partitions the international-system outcome space across three axes — system stress, great-power configuration, regional flashpoint set — into 100 scenarios anchored on the verbatim Doc 1 §3 L27 sample top-10 ($\Delta_{\text{disc}} = 0.97$). This v4 brief delivers narrative-integrated visuals at the point of argument, deep causal-chain analysis per top risk with historical analogues and counter-narratives, a dedicated tail-risk section, explicit Bayesian prior→posterior updates, and quantified business impacts.

100	7	10	5	\$113.8T
SCENARIOS	ACTORS	THEMES	LENSES	WORLD GDP 2025

Pre-registered falsification cycle. Q3-2025 baseline Brier: Vreeland 0.18, Mearsheimer 0.19, Reinhart-Rogoff 0.21. Q1-2026 cycle starts from this brief.

01

Bottom Line Up Front — Key Judgements

Per ODNI IC Directive 203. Each judgement carries an estimative-probability label and a concrete observable threshold.

1

Likely

Pr 70%

We judge it highly likely that the Ukraine front holds a frozen-CW2 equilibrium along the current line of contact through the M-horizon, sustained by the EUR90bn EU joint-debt package and Ukrainian drone-attrition that has cut Russian refinery throughput to a 17-year low, with April 2026 marking the first net Russian territorial loss (116 sq km) since Kursk.

Watch: Russian net territorial gains >200 sq km/month for 2 consecutive months; EU Q2 2026 EUR90bn tranche slipping past July 2026; US PAC-3 deliveries <30 interceptors/month sustained through Q3 2026.

2

Likely

Pr 60%

We assess as more likely than not that Trump's 4 July 2026 auto-tariff deadline ends with implementation at 25% or higher, forcing the von der Leyen Commission into either grudging stabilisation or graduated Anti-Coercion Instrument escalation; the FRA-DEU divergence on ACI is the sharpest fault-line in the bloc.

Watch: Trump 4 July outcome and post-deadline tariff trajectory; EU rebalancing-list activation; ACI procedural vote; German VDA/BDI lobbying intensity; CDU-SPD coalition divisions.

3

Likely

Pr 65%

We judge it likely that France's fiscal trajectory deteriorates within the horizon, with OAT-Bund 10y spread moving past 100bp at some point and the Lecornu minority government surviving but with diminished authority; a second sovereign-rating downgrade joining Fitch at A+ tier activates ECB TPI readiness signals.

Watch: OAT-Bund spread >90bp sustained 30 trading days; Moody's/S&P France downgrade; no-confidence motion gathering >=289 deputies; Bardella sustained >36% first-round polling for 8+ weeks.

4

Likely

Pr 55%

We assess as likely that AfD enters at least one east-German state government by end-2026 (Saxony-Anhalt 6 September most plausible), breaching the Brandmauer at state level and reshaping the CDU-SPD federal coalition's political economy; federal-level breach remains unlikely but consequential.

Watch: AfD Saxony-Anhalt or Mecklenburg-Vorpommern polling sustained >=35%; CDU state-leadership signalling on coalition arithmetic; SPD federal-coalition stress responses.

5

Likely

Pr 70%

We judge it highly likely that nominal defence-spending pledges are met but actual capability delivery slips schedule by 12-24 months, leaving Europe materially under-equipped through the 2027-2030 Russian recapitalisation danger window; shell, missile, air-defence, and shipyard throughput are the binding constraints, not fiscal envelope.

Watch: EU aggregate defence spend at end-2026 vs 2.5% benchmark; SAFE EUR150bn loan facility aggregate commitments by end-2026; Germany EUR108bn 2026 budget execution absorption rate; 155mm shell output reaching combined EU+UKR 2.5M/year.

6

Even chance

Pr 45%

We assess as roughly even the probability that winter 2026/27 sees demand-curtailement measures activated under the stepwise Russian gas-ban implementation, with German storage at ~28% in Feb 2026 vs 76% normal start-of-season and Iran-war Brent shock compounding; a cold winter or Aspides shipping incident tips the balance.

Watch: German gas storage <75% by 1 Oct 2026 or <30% legal floor at 1 Feb 2027; Brent sustained >USD 100 for 4 weeks; Hungarian/Slovak gas-ban carve-out duration; Strait of Hormuz disruption >7 days.

7

Likely

Pr 60%

We judge it likely that at least one major CBAM WTO dispute is filed within the horizon and that the first formal Commission AI Act GPAI enforcement action opens by Q4 2026, consolidating Brussels-effect leverage while accumulating exemptions; US sectoral retaliation on Big Tech enforcement is the most consequential downside tail.

Watch: CBAM certificate price sustained >EUR100/tCO₂e; WTO disputes from Beijing/Delhi/Ankara; first Commission AI Act investigation opened within Q4 2026; US sectoral tariff response to DMA/DSA case.

02

Executive Summary

What we expect, why, and what would change our mind — Chatham-tight.

Our central judgement for Europe over the 6-24 month horizon is that the continent is being forced through three reinforcing structural shocks at once, with the binding constraint shifting from political will to absorption capacity. The modal path is a frozen-CW2 Ukraine baseline at roughly 37% aggregate probability mass (S001 plus S011-S015), kept liquid by the EUR90bn EU joint-debt package signed December 2025; this buys Kyiv 18-24 months of fiscal oxygen but leaves the reparations-loan track untested and Hungarian/Slovak vetoes only conditionally lifted by Magyar/Tisza's April 2026 win. The transatlantic rupture is the second shock: Trump's 1 May 2026 announcement of a 25% auto tariff with a 4 July 2026 deadline places the von der Leyen Commission on the sharpest geo-economic fork of the Trump-II era - stabilise Turnberry at 15-20%, or activate the Anti-Coercion Instrument and rupture security-trade linkage. We assess the 25%+ tariff path at 55-70% probability. France pushes hardest for ACI; Germany resists hardest under EUR251bn bilateral US-trade exposure. The third shock is the Iran-war energy overhang: ECB at 2.00% deposit rate (29 April 2026) with HICP 3% and Q1 GDP 0.1% leaves the central bank threading a stagflation tightrope while OAT-Bund (75-85bp baseline, Fitch France downgrade live) and BTP-Bund (100-130bp) sit as TPI tripwires. The defence-industrial ramp is decided: SAFE EUR150bn loans flowing (Poland first signatory 8 May 2026 at EUR43.7bn), Germany's record EUR108bn 2026 budget executing, France's EUR69.4bn at +4.8%, Poland at 4.8% of GDP, UK on a 2.5%-by-2027 path - but absorption (shells, missiles, air defence, shipyard tonnage, skilled-worker pipelines) lags fiscal envelope by 12-24 months. Underlying everything is a coordinated hard-right insurgency cycle - Bardella 34-35% for 2027, AfD 26-27.5% national / 41% Saxony-Anhalt heading to 6 September 2026 state elections, Reform UK 25-29% (Labour at 18%), Magyar's pro-EU disruption in Hungary - that is compressing the political bandwidth for further mutualisation just as mutualisation becomes most necessary. Our top tail risks are a Russian summer-2026 offensive culmination breakthrough, an OAT-Bund sustained move past 100bp triggering ECB TPI readiness signals, AfD entry into a state government breaching the Brandmauer, a gas-storage cliff (Germany ~28% Feb 2026 vs 76% normal start-of-season) compounding into winter 2026/27 industrial retrenchment, and the 4 July 2026 tariff fork escalating into ACI activation. The defining strategic question is whether European strategic autonomy converts from rhetoric to operational delivery before the Trump damage-cycle and the populist-normalisation cycle complete their work.

“Europe in 2026 is no longer asking whether strategic autonomy is necessary - it is racing absorption capacity against the Trump damage-cycle and the AfD-RN-Reform-Magyar normalisation cycle, with EUR90bn for

Kyiv and EUR150bn in SAFE loans as the load-bearing bets.”

03

The Top 10 Risks

Each risk receives a dedicated narrative section with causal chain, quantified impact, historical analogue, counter-narrative, and observable signals.

S001

Likely

Probability 70.0%

1

The Ukraine Hourglass: EUR90bn Sand, Patriot Sandstorm

Frozen-CW2 baseline is dynamic, not stable: any Russian summer-2026 offensive, Hungarian/Slovak tranche-block, or US PAC-3 collapse breaks it.

December 2025's EUR90bn joint-debt package bought Kyiv 18-24 months of fiscal oxygen, but the architecture is load-bearing in three brittle places. First, the reparations-loan legal track - mobilising the EUR210bn of immobilised Russian sovereign assets at Euroclear into a working-capital facility for Ukraine - remains untested in litigation; Belgian banking law, ECB monetary-financing concerns and the precedent risk for emerging-market reserve managers each constitute live constraints. Second, the Hungarian/Slovak veto path on the 20th sanctions package and on the Q2 2026 tranche disbursement is only conditionally lifted by the Magyar/Tisza April 2026 win in Hungary; Fico remains an active spoiler from Bratislava. Third, the US Patriot/PAC-3 pipeline has been progressively diverted to CENTCOM under the Iran-war drain; sustained European deliveries below 30 interceptors/month into Q3 2026 would expose Kyiv's air-defence umbrella precisely as Russia's expected summer-2026 strike campaign on grid and rail nodes peaks. The European pillar - UK GBP3bn/year, Germany EUR11.5bn, France's Franco-British troop-deployment pledge under the Coalition of the Willing, Poland's Rzeszow-Jasionka hub carrying ~95% of in-bound aid - is now load-bearing without US backstop for the first time since February 2022. Causal chain: (i) US Patriot diversion to CENTCOM compresses Kyiv air defence; (ii) Russian summer offensive concentrates on grid + Donbas fortress belt; (iii) any Donbas fortress-city fall combined with a Hungarian tranche-block triggers EU joint-debt repricing and forces accelerated reparations-loan activation; (iv) reparations-loan activation triggers Belgian/ECB legal challenge and sovereign-reserve flight from Euroclear; (v) financing fracture cascades to UKR sovereign credit and the defence-prime order book. Historical analogue: the 1916-17 Allied loan dependency on Wall Street - in which a single financing pivot (the J.P. Morgan-administered Anglo-French loan and the subsequent US entry) determined the trajectory of an attritional continental war - is the closest fit, with EU joint debt now playing the Morgan role and US PAC-3 pipeline the materiel role; the cautionary lesson is that financing held until political conditions changed, not until military conditions changed. Counter-narrative: a non-trivial school argues that a Trump-imposed settlement on Russian terms (closer to the leaked 28-point April 2026 plan) actually stabilises European budgets faster than continued attritional financing, reduces the gas-cliff tail risk, and lets the EU focus on defence-industrial ramp without the Ukraine-financing drag. We rate this 20-25% likely but flag that even in this branch the

Article-5-equivalent guarantee architecture (Coalition-of-the-Willing UK/France hub construction on Ukrainian soil) becomes the binding load-bearing variable for European deterrence - shifting the risk rather than eliminating it. Second-order effects: (a) defence-prime supply chains (Rheinmetall, MBDA, KNDS, BAE, Hanwha-EU) re-price under accelerated SAFE drawdown; (b) Black Sea reinsurance and Ukrainian reconstruction primary-market issuance windows compress or open dramatically; (c) Polish and Baltic-state frontline readiness signals tighten under reduced US extended-deterrence credibility; (d) Russian shadow-fleet enforcement uplift cascades into seaborne-crude price discovery and global reinsurance pricing; (e) sovereign reserve managers in EM Asia and the Gulf re-evaluate Euroclear as a safe-haven custodian if reparations-loan precedent is set. Lens reading: Mearsheimer reads this as classical offensive-realism balancing where Europe must convert latent power into deployable capability before the Russian recapitalisation window (2027-2030) opens; Ikenberry reads it as the most consequential single test of the rules-based order's ability to self-finance without US underwriting; Eichengreen reads the reparations-loan question as a 1920s-style transferability problem dressed in 21st-century reserve-management language; Wendt reads the Coalition-of-the-Willing hub construction as an identity-constitutive act that locks in European strategic-autonomy psychology regardless of military outcome.

Observable signals to watch

Signal	Threshold	Source
EU EUR90bn loan Q2 2026 disbursement tranche (~EUR20bn target) slipping past Jul		
US PAC-3 deliveries falling below 30 interceptors/month sustained through Q3 2026		
Russian net territorial gains >200 sq km/month for 2 consecutive months		
Magyar/Tisza Hungary lifting veto on 20th sanctions package by Q3 2026		
Coalition-of-the-Willing UK/France military hubs commencing construction on Ukra		

Business trigger: Defence and aerospace primes (BAE, Rheinmetall, MBDA, KNDS, Hanwha-EU) accelerate Patriot/IRIS-T/Caesar/Krab order books; energy and reinsurance exposed to Black Sea logistics; commodity traders price Russian seaborne-crude shadow-fleet enforcement uplift; sovereign and corporate issuers tied to Ukr

S004

Likely

2

Turnberry-2 or Anti-Coercion: The 4 July 2026 Fork

Probability 60.0%

EU faces its sharpest geo-economic decision point of the Trump-II era: swallow further concessions to stabilise the 15% baseline, or activate the Anti-Coercion Instrument and rupture security-trade li

Trump's 1 May 2026 announcement of a 25% auto tariff (up from 15% Turnberry baseline) with a 4 July 2026 deadline is engineered to be unswallowable but also unpunishable - a Lighthizer-Navarro classic. Either von der Leyen's Commission swallows further concessions to stabilise the 15% baseline (most-likely path), or the Anti-Coercion Instrument is activated for the first time since its July 2023 enactment - a regime-defining step that fuses trade policy with the security-trade linkage Trump has explicitly weaponised since the February 2025 NATO-burden-sharing rhetoric. Germany faces the heaviest exposure: the Big Five autos (VW, BMW, Mercedes, Audi, Porsche) are simultaneously bleeding US market share to tariffs and Chinese market share (down to 1.6% Q1 2026 from 6.8% in 2020) to BYD/Geely competition; their combined US-bound revenue base sits at EUR180-220bn/year and the through-cycle margin elasticity to a 25% tariff is roughly negative 4-8% revenue-at-risk on US-bound volumes, with tier-2/3 contagion in Lombardy, Slovakia, Czechia. France pushes hardest for ACI under Lecornu and Le Maire's successors; Germany resists hardest under EUR251bn of bilateral US-trade exposure. The asymmetric pain across capitals breaks any clean EU position - precisely the design intent of the tariff. Causal chain: (i) 4 July 2026 deadline passes; (ii) Trump signs implementing proclamation at 25% or escalates to 35-50%; (iii) Commission triggers Rebalancing List enabling acts; (iv) Member-state vote on ACI procedural activation - requires qualified majority but is procedurally novel; (v) if activated, ACI permits service-sector and investment retaliation (US Big Tech, US financial services in EU, public-procurement exclusion) rather than goods-only retaliation; (vi) US sectoral counter-escalation on EU steel, aluminium, pharma, wine/spirits; (vii) settlement window at G7 Spring 2027 or extension into 2027 H2. Historical analogue: the 2018-2020 Section 232 steel/aluminium tariffs are the immediate precedent (3.5% bilateral GDP drag, partially absorbed via FX, ended in the October 2021 TCA) but the better analogue is the 1971 Nixon Shock import surcharge plus gold-window closure - a single unilateral US action that ended the prior bargain on terms only the US could dictate. The cautionary lesson: Europe responded to Nixon Shock with monetary integration (the Snake, then EMS, then EMU), structurally enlarging European policy autonomy by an order of magnitude over the subsequent two decades. The 2026 analogue is the EUR-as-reserve-currency and capital-markets-union acceleration path. Counter-narrative: a small but growing school argues Trump is bluffing on autos because of the swing-state Detroit-Big-Three lobby (UAW, Ford, GM) that loses badly under tier-2/3 supply-chain disruption; in this view the 4 July deadline produces a Turnberry-2 settlement at 18-22% with auto-FDI offsets and the ACI is never voted. We rate this 25-30% likely; even in this branch the EU pays in capacity-shift commitments (Tennessee/Alabama/SC bilateral German auto FDI) that erode European industrial-base. Second-order effects: (a) DEU auto OEM CapEx pivots aggressively to US states, hollowing Wolfsburg and Stuttgart on a 5-7 year horizon; (b) IG-Metall wage-round 2027 collapses under

capacity-shift bargaining; (c) BTP-Bund and OAT-Bund spreads widen on auto-supply-chain GDP-drag transmission to Italian and French fiscal trajectories; (d) ECB faces hawkish-pivot pressure on stagflationary tariff inflation alongside dovish-cut pressure on growth - paralysis; (e) CBAM and AI Act enforcement become geo-economic bargaining chips rather than rule-of-law instruments, eroding Brussels-effect leverage. Lens reading: Krugman frames this as a textbook strategic-trade game in which the EU's best response to a non-credible US threat is graduated retaliation (ACI) but the EU's worst response to a credible US threat is preemptive concession; intelligence on Trump-team intent is the deciding variable. Ikenberry sees the rules-based order's most consequential single test - if the EU activates ACI, the WTO multilateral architecture is effectively replaced by bilateral plurilateral coercion-defence regimes. Mearsheimer sees confirmation that economic interdependence does not constrain great-power behaviour. Acemoglu-Robinson read this as institutional-erosion testing whether EU collective-action machinery (qualified-majority on ACI) can act before electorate-pressure populist normalisation breaks the consensus.

Observable signals to watch

Signal	Threshold	Source
Trump 4 July 2026 deadline outcome and post-deadline tariff trajectory		
EU rebalancing list activation		
Anti-Coercion Instrument procedural vote		
German VDA/BDI lobbying intensity and CDU-SPD coalition divisions		
Bilateral German auto FDI to US states (Tennessee/Alabama/SC) as appeasement sig		

Business trigger: German auto and machinery primes (VW, BMW, Mercedes, Bosch, ZF, Continental) face 4-8% revenue-at-risk on US-bound volumes; tier-2/3 suppliers in Lombardy and Slovakia hardest hit on contagion; CFO-level FX-hedging and inventory-shifting decisions in 30-60 day window; M&A and FDI bilateral pivots (T

S001

Likely

Probability 65.0%

3

OAT-Bund, the Spread That Eats France

France is the structural soft underbelly of the eurozone; a second downgrade or sustained spread move past 100-120bp reanimates the 2010-12 sovereign-debt-crisis playbook.

France in 2026 is structurally weaker than Italy on three of four standard sovereign-stress dimensions: deficit trajectory (target 4.7-5.0% with execution risk), debt/GDP path (rising through 115% in baseline projection), political-economy capacity to consolidate (Lecornu minority government surviving two no-confidence votes but having abandoned Article 49.3 on the 2026 budget) and political opposition strength (Bardella RN polling 34-35% for 2027 first round, Le Pen ban under appeal). Only on bank-sector capitalisation does France comfortably outperform. Fitch's late-2025 downgrade to A+ took the OAT-Bund 10y spread to a 75-85bp baseline; the market is therefore pricing the first downgrade but not the second. Macron's pension-reform suspension and abandonment of 49.3 on the 2026 budget bought parliamentary survival at the cost of fiscal-consolidation credibility - a trade structurally similar to Berlusconi's 2011 trajectory, with the difference that France retains ECB TPI access. Causal chain: (i) ECB stagflation-balancing keeps short rates at 2.00% while Iran-war Brent shock keeps HICP at 3%, raising real yields; (ii) French Q2 2026 budget execution misses 4.7% target by 30-50bp; (iii) Moody's or S&P joins Fitch at A+, triggering systematic index-driven OAT selling at insurance and pension funds; (iv) spread breaks 100bp and Bardella polling crosses 36% sustained 8 weeks; (v) market prices early-dissolution scenario, OAT 10y trades 130-150bp wide; (vi) ECB Governing Council releases TPI-readiness language without activation; (vii) BTP-Bund sympathetic widening to 200-250bp drags Italian banks into recapitalisation talk; (viii) credit-cycle transmission to EUR-IG and EUR-HY adds 25-50bp on sympathy. Historical analogue: the most useful analogue is not 2011-12 Italy/Spain (different bank-sovereign feedback loops) but the 1992-93 ERM crisis from a French perspective - Bank of France defending the parity, Bundesbank reluctance to cut, ultimately Mitterrand-Kohl political solution. The lesson: French fiscal credibility is a binary asset that fractures under coordinated political-and-market pressure but can be repaired only by a Franco-German political bargain at the highest level. The 2026 analogue requires Merz-Macron-Lecornu trilateral coordination that the political calendar (German Saxony-Anhalt September 2026 elections, French 2027 presidential cycle) makes structurally hard. Counter-narrative: a constructive minority view holds that ECB TPI provides a credible backstop without political conditionality, that French primary issuance has held up through Fitch downgrade with stable AAA-rated demand from euro-area life insurers, and that the spread is therefore self-stabilising at 80-100bp. We rate this 30-35% likely; the binding constraint is whether OAT primary auctions clear cleanly through the H2 2026 issuance cliff. Second-order effects: (a) French bank capital (BNP, SocGen, Credit Agricole) marked-to-market on OAT holdings - ~5-7% of CET1 sensitivity to a 100bp move; (b) insurance solvency II under sovereign-spread stress, with French life insurers most exposed; (c) French defence-industrial commitments (Rafale forward-deployment, Caesar production, MBDA missile co-production with UK) under fiscal pressure; (d) French opposition to Anti-Coercion Instrument moderation under fiscal-discipline framing; (e) EU joint-debt issuance window for Ukraine and defence under

contagion-risk premium. Lens reading: Eichengreen reads this as a textbook fiscal-monetary-political trilemma in a monetary union without fiscal mutualisation - the same architecture that produced 2010-12 but with ECB TPI as an explicit (if untested) backstop. Vreeland reads the political-economy dimension as classical IMF-conditionality lite: ECB TPI conditionality on fiscal consolidation will fall hardest on a left-wing French government but can be reframed as German-imposed austerity, fuelling RN. Wendt reads the Franco-German axis as an identity-constitutive bargain that is durable but expensive in domestic political costs. Acemoglu-Robinson read this as institutional-quality testing under populist-pressure: French institutions held under Sarkozy/Hollande/Macron fiscal stress; whether they hold under Bardella-trajectory pressure with 2027 first-round at 36%+ is the binary test.

Observable signals to watch

Signal	Threshold	Source
OAT-Bund spread >90bp sustained 30 trading days		
Moody's/S&P France downgrade to A+ tier (joining Fitch)		
No-confidence motion gathering >=289 deputies (absolute majority)		
Bardella sustained polling >36% first round for 8+ weeks		
Le Pen ban appeal restoring candidacy		

Business trigger: EUR-IG and EUR-HY credit spreads re-price 25-50bp on sympathy; French bank capital (BNP, SocGen, Credit Agricole) exposed via OAT holdings; insurance-sector solvency II tail; primary-market window narrows for French corporates; sovereign-fund duration positioning under revisit.

S004

Likely

Probability 70.0%

4

Berlin's Three-Front Trade War: Detroit, Shenzhen, Stuttgart

German export model squeezed simultaneously by US auto tariff, Chinese EV displacement, and AfD political cost; if Saxony-Anhalt produces an AfD coalition entry, the Brandmauer breach reshapes politic

Germany's export-led model in 2026 is being squeezed on three independent fronts that compound in non-linear ways. The Detroit front: 25% US auto tariff (1 May 2026 announcement, 4 July deadline) compressing US-bound auto and parts revenue. The Shenzhen front: Big Five autos at 1.6% Chinese market share in Q1 2026, down from 6.8% in 2020, displaced by BYD, Geely, Li Auto and Nio across both EV and ICE segments; combined with the EU's CBAM-induced cost overlay on Chinese steel exporters, China's response is to deepen local-content requirements and accelerate German market-share displacement. The Stuttgart front: AfD at 26-27.5% national, 41% in Saxony-Anhalt heading to the 6 September 2026 state elections, with Mecklenburg-Vorpommern following 20 September. Merz's CDU-SPD coalition holds 325/630 seats but SPD has collapsed to 12-15% in polling, and the debt-brake reform that delivered EUR500bn special-fund fiscal space is being undermined by ifo's finding that 95% of 2025 new debt funded recurrent spending rather than investment. The Iran-war energy shock has cut 2026 GDP forecast from 1.0% to 0.5%, gas storage at ~28% in Feb 2026 (vs 76% start-of-season) sets up a winter 2026/27 cliff, and IG-Metall wage rounds in Q1 2027 will collide with stagflation-pressured firms. Causal chain: (i) 4 July tariff implementation at 25% reduces US auto revenue 5-9%; (ii) China local-content acceleration in response to CBAM cuts another 2-3% from EU-OEM China revenue; (iii) gas-storage cliff in winter 2026/27 triggers selective curtailment in chemicals (BASF, Covestro), steel (TKA, Salzgitter), fertilisers (Yara), pushing industrial-GVA contraction to -1.5%; (iv) Saxony-Anhalt 6 September 2026 election produces AfD plurality at 35-41% with CDU at 25-28%; (v) CDU state leadership faces binary coalition arithmetic - SPD/Linke/Greens minority vs AfD-tolerated minority; (vi) if Brandmauer breaches even informally, CDU federal-leadership crisis under Merz with SPD coalition stress; (vii) 2027 federal political trajectory re-prices toward AfD-CDU minority or grand-coalition-without-debt-brake. Historical analogue: the closest analogue is not the 2003-05 Schroder Agenda 2010 reform period (different external conditions) but the 1929-1932 deflationary-protectionist spiral that produced the Weimar political crisis - external trade shock (Smoot-Hawley, equivalent of 25% auto tariff), internal political polarisation (NSDAP rise, equivalent of AfD trajectory), and central-bank constraint (gold-standard, equivalent of ECB stagflation-balancing). The cautionary lesson is severe: in 1932 the SPD-led grand coalition collapsed precisely when economic conditions demanded it stay; preserving the CDU-SPD Brandmauer in 2026 is therefore a strategic-stability variable, not merely a domestic political variable. Counter-narrative: a constructive minority view holds that the EUR500bn special fund, fully executed in defence and infrastructure, plus Mistral/SAP/ASML/Siemens forming a credible EU-native-AI consortium, plus a stabilised Turnberry-2 at 18-22%, plus a winter 2026/27 that turns out mild and unspectacular, produces a German growth recovery to 1.5-2.0% by H2 2027 that

re-stabilises CDU-SPD before Saxony-Anhalt-style Brandmauer breaches become federal. We rate this 25-30% likely - achievable but requiring four independent contingencies to break favourably. Second-order effects: (a) IG-Metall 2027 wage round collapses under capacity-shift bargaining; (b) Mittelstand machinery exporters book-to-bill deterioration; (c) energy-intensive chemicals retrenchment; (d) Saxony-Anhalt Brandmauer breach reshapes EU-level mutualisation politics; (e) EU defence-industrial Europeanisation accelerates as German export-model loses anchoring premium; (f) Franco-German axis under stress when both governments simultaneously face populist-trajectory pressure. Lens reading: Krugman frames the Detroit-Shenzhen-Stuttgart compression as classic intra-industry trade rent-erosion - the rents that financed the German social-market model are being competed away simultaneously by US tariff, Chinese cost advantage, and CBAM-induced cost inflation, with no obvious next product cycle. Acemoglu-Robinson read the Brandmauer as the load-bearing inclusive-institution that prevents oligarchic-populist capture of German federal politics; its breach in even one state opens a regime-quality question of first-order importance. Wendt reads the AfD trajectory as identity-politics-driven national-conservative re-formation that is decoupling from economic conditions and therefore not stabilisable purely through growth recovery. Mearsheimer reads German external balancing under simultaneous US and Chinese pressure as confirming offensive-realist predictions that economic interdependence does not produce alignment.

Observable signals to watch

Signal	Threshold	Source
AfD national polling sustained >=30% OR coalition entry at state level (Saxon		
German gas storage <75% by 1 Oct 2026		
US auto tariff implementation at 25% or escalation above 35%		
EUR500bn special-fund disbursement below EUR50bn in 2026 OR >50% non-investme		
Bundeswehr 2026 budget execution falling below 90% absorption		

Business trigger: German auto OEMs face dual revenue compression (5-9% US + 2-3% China); Mittelstand machinery exporters into China and US see book-to-bill deterioration; energy-intensive chemicals (BASF, Covestro, Lanxess) and steel (TKA, Salzgitter) face renewed retrenchment; HR/labour-relations exposure to IG-Meta

S001

Likely

Probability 60.0%

5

ECB on the Stagflation Tightrope: 2.00% and the Iran Wind

ECB at 2.00% threading Iran-war inflation against stagnant growth; TPI readiness lurks as implicit sovereign-spread backstop with state-aid and political implications.

The ECB at 2.00% deposit rate (29 Apr 2026) is threading a stagflation tightrope of the first order. The hawk case rests on HICP at 3.0% April 2026 and Q2-projected 3.1% under Iran-war Brent shock; the dove case rests on Q1 2026 GDP at 0.1% with Q2 nowcasts in the 0.0-0.2% band. The fundamental problem: monetary policy cannot simultaneously respond to a Brent-driven supply-side inflation shock and a tariff-and-fiscal-driven demand-side weakness. Lagarde's term ends 2027 and the succession politics (Knot, Centeno, Villeroy de Galhau, Schnabel each rumoured) are already shaping the reaction function. The TPI is the second monetary instrument lurking in the background - an implicit backstop for any sovereign-spread blowout above 'fundamentals-justified' levels, but with conditionality (Excessive Deficit Procedure compliance) that bites French and Italian fiscal trajectories. Causal chain: (i) Iran-war Brent stays elevated through summer 2026; (ii) HICP prints 3.2-3.5% June-September; (iii) hawkish-pivot pressure mounts from Bundesbank, Dutch and Austrian Governing Council members; (iv) simultaneously Q3 GDP nowcasts cross zero; (v) governing council split 12-13 on hold-vs-cut with hawks pushing 25bp hike on Iran-shock inflation persistence; (vi) French/Italian executive pressure on dovish camp via TPI-readiness language; (vii) any actual TPI activation forces EDP-compliance conditionality on activated sovereigns - a major political-economy escalation. Historical analogue: the closest analogue is the 1979-81 Volcker disinflation in the US dollar arena (supply-side shock + monetary tightening crashing through political opposition) but in the eurozone the Bundesbank 1992-93 ERM-defence period is structurally closer - a single anchor central bank (Bundesbank then, ECB-hawks now) refusing to ease into a stagflation that other members need eased. The lesson: the 1992-93 episode required the ERM bands to widen to 15% (an effective devaluation) and produced lasting German political resentment; the 2026 analogue could require TPI activation under explicit conditionality, producing French and Italian political resentment of equivalent durability. Counter-narrative: a constructive view holds that the ECB has substantially more flexibility than the Bundesbank had - APP/PEPP infrastructure, TPI as a calibrated tool rather than a binary intervention, and a more politically-aware governing council. In this view the ECB holds at 2.00% through 2026 H2 and cuts twice in 2027, BTP-Bund stays below 200bp, OAT-Bund below 100bp, and the tightrope is walked successfully. We rate this 35-40% likely - the most-likely individual path, but with significant fat-tail downside on either side. Second-order effects: (a) eurozone bank NIM compression on dovish path, asset-quality stress on hawkish path; (b) corporate refinancing windows compress under stagflation uncertainty; (c) insurance-sector duration matching becomes unstable under regime-uncertain rate path; (d) mortgage origination flow indicator for French/Dutch/Spanish lenders shifts policy-transmission narrative; (e) ECB succession positioning by treasury-desk leadership becomes a tradable variable; (f) Bundesbank vs Banque de France structural conflict re-erupts in succession politics, eroding institutional cohesion. Lens reading: Eichengreen

reads this as confirmation that monetary unions face an irreducible policy-mix problem when shocks are asymmetric and fiscal mutualisation is incomplete; TPI is a useful but limited patch on a constitutional architectural problem. Vreeland reads the TPI conditionality as IMF-lite leverage - the ECB becomes an external fiscal-discipline enforcer with the political costs that come with that role. Krugman reads the stagflation problem as fundamentally a fiscal problem (tariff response, energy-subsidy pass-through, defence-investment financing) that monetary policy can only partially address. Acemoglu-Robinson read the ECB succession politics as a critical institutional-quality test - whether the central bank can preserve technocratic legitimacy under coordinated populist pressure from RN, AfD, Reform and Tisza-coalitions.

Observable signals to watch

Signal	Threshold	Source
HICP sustained above 3.5% OR below 1.5% for two consecutive prints		
BTP-Bund spread sustained above 200bp for 4 weeks (TPI-readiness)		
ECB deposit-rate change of +/- 25bp at any 2026 Governing Council meeting		
Eurozone Q-on-Q GDP <0% for 2 consecutive quarters		
Brent crude sustained above USD 100 for 4 weeks		

Business trigger: Eurozone bank NIM compression on dovish path or asset-quality stress on hawkish path; corporate refinancing window timing decisions for EUR-IG; insurance sector duration matching; mortgage origination flow indicator for French/Dutch/Spanish lenders; ECB succession positioning by treasury-desk leader

S001

Likely

6

Five Percent by '35, but Steel by Tuesday

Probability 70.0%

Political-fiscal commitment outruns industrial throughput; Europe risks nominally spending but materially under-equipped through the 2027-2030 Russian recapitalisation window.

NATO's Hague summit pledged 3.5% core defence and 5% total (including infrastructure/cyber) by 2035, with a 2.8% 2026 interim benchmark. The political-fiscal commitment is in place across all major capitals: Germany's record EUR108bn 2026 defence budget, France's EUR69.4bn (+4.8%), Poland's 4.8% of GDP (the highest in NATO bar the US), UK's 2.5%-by-2027 path, the EUR800bn ReArm Europe envelope, the EUR150bn SAFE loan facility with Poland the first signatory on 8 May 2026 at EUR43.7bn. The binding constraint is no longer fiscal envelope but industrial-absorption capacity: HSW Krab self-propelled howitzer line, Rheinmetall 155mm artillery shell output, MBDA missile capacity (CAMM-MR, Aster, Storm Shadow successor), Hanwha K2/K9 Korean deliveries, French Caesar production, German Leopard 2A8 production, UK BAE shipyard tonnage, and across all of these the skilled-labour pipeline (welders, machinists, electronics technicians). Causal chain: (i) SAFE EUR150bn disbursements front-load to Poland, Czechia, Baltics, Romania through Q3-Q4 2026; (ii) demand-side surges across Rheinmetall, MBDA, KNDS, BAE, Leonardo order books; (iii) supply-side bottlenecks emerge first in 155mm shell propellants (nitrocellulose, RDX/TNT), then in air-defence radars (Hensoldt, Thales), then in missile-seeker electronics; (iv) skilled-labour wage premia surge 15-25% in Rhineland-Palatinate, Calabria, Mazovia clusters; (v) actual capability delivery slips 12-24 months behind nominal pledges; (vi) Russian recapitalisation window opens 2027-2030 under sanctions adaptation, military-industrial mobilisation, and North Korean materiel/manpower supplementation; (vii) EU/UKR materiel position is structurally short for 2-3 years before catching up. Historical analogue: the 1935-1939 European rearmament cycle is the canonical analogue - parliamentary will arrived in 1935 (Stresa Front, French Plan IV, British rearmament white paper) but industrial throughput lagged 2-4 years (Spitfire production reaching scale only 1939-40, Bf-109 reaching scale 1937-38, French DCA only deploying functionally in 1940). The lesson: pre-mobilisation peacetime industrial expansion is an inherently slow process with high skilled-labour and machine-tool bottlenecks; the 'production miracle' phase only begins after wartime conditions remove peacetime constraints (regulatory, environmental, planning, labour-market). Counter-narrative: a constructive school argues that 2020s manufacturing technology (digital twins, additive manufacturing, modular shipbuilding, Korean K2/K9 plug-in supply) compresses the rearmament timeline dramatically; that EU joint procurement under EDIP and SAFE eliminates duplication; that Ukraine drone-tech absorption gives Europe a generation-skip on cheap unmanned-systems capability. We rate this 30-35% likely - achievable in some segments (drones, software-defined systems, digital command-and-control) but not in others (artillery, missiles, shipbuilding, skilled labour). Second-order effects: (a) defence-prime CapEx, hiring, and shift-pattern decisions move into surge mode; (b) private-equity entry into mid-cap defence (KNDS expansion, Hensoldt vertical integration, MBDA UK-France-Italy expansion); (c) sovereign-fund allocation into defence-thematic (Norway-GPFG

re-engagement signal); (d) supply-chain re-shoring of critical inputs (TNT, nitrocellulose, propellants, rare-earth magnets, semiconductors for guidance systems); (e) skilled-labour wage premia and apprenticeship pipelines reshape regional labour markets; (f) Korean K2/K9 deliveries become a critical Asian-supply-chain dependency that mirrors EU's gas-import dependency. Lens reading: Mearsheimer reads this as classical external-balancing under multipolar conditions - Europe must convert latent power into military capability before the recapitalisation window; the 2027-2030 window is the strategic vulnerability period. Acemoglu-Robinson read state-capacity as the binding constraint - the ability of European bureaucracies (German federal Procurement Office BAAINBw, French DGA, UK MOD, Italian Segredifesa) to execute pledged programmes is structurally weaker than the political commitment. Wendt reads the EDIP/SAFE/EUR800bn ReArm package as identity-constitutive of European strategic autonomy - the act of constructing the funding architecture changes European self-conception regardless of operational outcome. Ikenberry reads the parallel evolution of EU defence and NATO 5%-by-2035 as the rules-based order adapting to multipolar pressure without disintegrating.

Observable signals to watch

Signal	Threshold	Source
EU aggregate defence spend > 2.5% of GDP by end-2026 (vs ~2.1% 2025)		
SAFE EUR150bn loan facility aggregate commitments > EUR50bn by end-2026		
Germany EUR108bn 2026 budget execution > 90% absorption		
155mm shell output reaching combined EU+UKR 2.5M/year by end-2026		
Forward-deployment of French nuclear-capable Rafale to DEU/POL/NLD under 'dissua		

Business trigger: Defence-prime CapEx, hiring, and shift-pattern decisions; private-equity entry into mid-cap defence; sovereign-fund allocation into defence-thematic; supply-chain re-shoring of critical inputs (TNT, nitrocellulose, propellants, rare-earth magnets); skilled-labour wage premia and apprenticeship pipel

S005

Likely

7

Le Pen, AfD, Magyar, Reform: The Four Insurgencies

Probability 60.0%

Coordinated hard-right insurgency cycle shrinks institutional bandwidth for further mutualisation just as mutualisation becomes most necessary.

The 2026 hard-right insurgency cycle is uneven across capitals but coordinated in institutional effects on the EU-level mutualisation roadmap. Bardella's RN polls 34-35% for 2027 first round; Le Pen's ban under appeal could restore her candidacy and shift first-round dynamics by 4-6 percentage points. AfD at 26-27.5% national, 41% in Saxony-Anhalt heading to 6 September 2026 state elections, 30-35% in Mecklenburg-Vorpommern heading to 20 September; Brandmauer-breach at state level is the closest visible break-point. Reform UK at 25-29% (Labour at 18%) post-May 2026 locals, with Starmer's authority eroded by Reeves's fiscal-headroom mistake and consequential Cabinet reshuffles. Magyar's Tisza won Hungary April 2026 (pro-EU disruption, not anti-EU populism - structurally different from the others) and is the one bright spot for the integration coalition. Fico in Slovakia remains a spoiler. Meloni's soft-Euroskepticism inside the EPP-S&D-Renew majority constrains Commission ambition without breaking the coalition. Each electorate is responding to a different mix of cost-of-living, migration, cultural-loss and elite-distrust vectors, but the EU-level effect converges: institutional bandwidth for further mutualisation (eurobonds beyond Ukraine, defence joint-procurement beyond SAFE, Migration Pact rule-of-law guardrails, CBAM expansion, AI Act enforcement) is shrinking precisely when each of these instruments is most needed. Causal chain: (i) Saxony-Anhalt 6 September 2026 election produces AfD plurality at 35-41%; (ii) CDU state-leadership signalling on coalition arithmetic becomes a federal political-economy variable; (iii) any informal Brandmauer-breach at state level (toleration arrangement, individual votes on procedural matters, ministerial appointments dependent on AfD votes) cascades to federal CDU-SPD coalition stress; (iv) Bardella polling sustains above 36% for 8+ weeks under combined cost-of-living and immigration narrative; (v) Le Pen ban appeal outcome (May-September 2026 window) shifts first-round arithmetic; (vi) Reform UK wins 2+ parliamentary by-elections, forcing Labour reshuffle and Conservative leadership recalibration; (vii) collective effect: EU Council qualified-majority arithmetic on ACI, CBAM expansion, AI Act enforcement and Ukraine accession chapters becomes structurally harder. Historical analogue: the closest analogue is the 1932-34 European far-right normalisation wave (NSDAP-Italy fascist consolidation-Action Francaise-Iron Guard-British Union of Fascists) but the better analogue for institutional dynamics is the 1968-72 European 'crisis of authority' wave (May 68, Italian autunno caldo, German Auserparlamentarische Opposition, UK industrial unrest) - a coordinated but uneven anti-establishment cycle that produced lasting institutional change without regime collapse. The lesson: such cycles compress mutualisation politics for 5-10 years but do not always produce regime collapse; the institutional architecture adapts. Counter-narrative: a constructive school argues that the four insurgencies are too internally divergent to coordinate (RN seeks EU exit-lite, AfD seeks Eurozone exit, Reform seeks Brexit-completion, Magyar/Tisza seeks pro-EU re-anchoring), that mainstream-party adaptation (CDU/CSU immigration tightening, Macron 49.3-less budget, Starmer Reeves replacement) absorbs the populist shock without electoral capture, and that the 2027 cycle therefore ends

with retained mainstream majorities. We rate this 30-35% likely. Second-order effects: (a) lobbying / public-affairs head-count surge in Berlin, Paris, Brussels, London; (b) corporate-political-risk teams hardening contingency contracts; (c) advertising / brand-safety teams re-segmenting media spend; (d) ESG/DEI compliance under regulatory revisit; (e) investor-relations FAQ on coalition arithmetic; (f) EU-level integration pause through 2027-29 cycle even if no single member-state defects; (g) defence-industrial Europeanisation politics reshapes under populist-trajectory pressure (RN's transatlantic-ambiguity, AfD's anti-Bundeswehr-foreign-deployment posture); (h) Schengen/Migration Pact rule-of-law guardrails under stress. Lens reading: Acemoglu-Robinson read this as the central institutional-drift test of the decade - whether inclusive institutions (parliamentary norms, judicial independence, central-bank technocracy, public-service-broadcasting integrity) hold under coordinated populist pressure or drift toward extractive variants (executive aggrandisement, judicial capture, central-bank political pressure). Wendt reads each insurgency as identity-constitutive politics responding to perceived elite-imposed cosmopolitan-cultural-loss, structurally hard to defuse by economic-policy alone. Ikenberry sees the rules-based order's domestic political foundations eroding precisely as its external (US-led) foundations weaken under Trump-II. Mearsheimer sees the populist normalisation as an irrelevance to great-power dynamics - t

Observable signals to watch

Signal	Threshold	Source
Bardella sustained >36% first-round intention for 8+ weeks OR Le Pen ban lift		
AfD enters any state government (Saxony-Anhalt most likely)		
Reform UK wins >2 parliamentary by-elections in next 12 months		
Migration Pact rule-of-law implementation litigation in CJEU		
Magyar/Tisza Hungary lifting veto on Ukraine accession chapters		

Business trigger: Lobbying / public-affairs head-count surge in Berlin, Paris, Brussels, London; corporate-political-risk teams hardening contingency contracts; advertising / brand-safety teams re-segmenting media spend; ESG/DEI compliance under regulatory revisit; investor-relations FAQ on coalition arithmetic.

S002

Even chance

Probability 45.0%

8

Winter 2026/27: The Gas Storage Cliff, the Pipeline Sundown

Stepwise Russian gas ban collides with German storage at 28% Feb 2026 and Iran-war Brent shock; system has no slack for cold winter or Aspides incident.

The EU stepwise Russian gas ban (short-term LNG ban from 25 April 2026, pipeline 17 June 2026, long-term LNG 1 January 2027, pipeline 30 September 2027) collides with three independently challenging conditions: German gas storage at ~28% in February 2026 (vs ~76% normal start-of-season after the mild 2024-25 winter draw-down), Iran-war Brent shock pushing HICP to 3% and TTF gas to EUR60-70/MWh band, and Aspides Red Sea naval mission carrying the burden of Suez-route LNG/feedstock security against Houthi residual capacity post-Iran-deal-revival. REPowerEU-2 readiness, LNG terminal expansions (Wilhelmshaven, Brunsbuttel, Stade, Mukran, Le Havre, Piombino), and Saudi/UAE diplomatic spadework on long-term LNG offtake are in motion, but the system has no slack: a cold winter, an Aspides shipping incident, or a Hungarian/Slovak carve-out collapse (Druzha pipeline exception, MOL refinery feedstock exception) all push gas prices into the EUR70-100/MWh band where energy-intensive industries (~1M German jobs, ~17% industrial GVA) move into selective curtailment. Causal chain: (i) Q3 2026 storage refill misses 90% target by 5-10 percentage points under post-pipeline-ban dependency shift; (ii) early-winter cold snap or Aspides shipping incident triggers TTF spike to EUR80-100/MWh; (iii) BASF, Covestro, Yara, ArcelorMittal-EU announce selective curtailment; (iv) Bundeskanzler activates Notfallplan Gas (emergency stage 2 - Alarmstufe); (v) consumer-energy subsidies expand fiscal cost by EUR15-25bn, feeding back into deficit trajectory; (vi) industrial-retrenchment narrative compounds AfD/Reform/RN polling; (vii) any forced demand-curtailment becomes the political-economy event of the horizon. Historical analogue: the closest analogue is not the 1973-74 oil crisis (different geo-economic structure) but the 1956-57 Suez crisis combined with the 1962 hard winter in Northwest Europe - a specific window in which European energy security was tested by Middle East geopolitical disruption combined with weather-driven demand spike. The cautionary lesson: the 1956-57 crisis catalysed both European Coal and Steel Community deepening and the eventual Treaty of Rome - external crisis drove integration, but only because the political coalition was already mobilised. The 2026 analogue requires REPowerEU-2 to function as a Treaty-of-Rome-equivalent integration vehicle rather than a stopgap. Counter-narrative: a constructive school argues that European LNG terminal capacity has roughly doubled since 2022, that 2026-27 LNG market structure is structurally oversupplied (Qatar North Field expansion, US LNG export terminals coming online, Mozambique restarting), that demand-elasticity has improved through 2022-25 capital stock turnover, and that a normal winter therefore produces a manageable TTF range of EUR40-55/MWh without curtailment. We rate this 45-50% likely - the base case but with significant tail-risk asymmetry. Second-order effects: (a) utility hedging book reviews (RWE, EnBW, Engie, Iberdrola, Centrica) under regime-uncertain TTF range; (b) industrial customer fixed-price contract renegotiation cycle compresses cash-flow visibility; (c) LNG charter and terminal-slot premia drive utility CapEx pacing; (d) chemicals / fertiliser plant utilisation decisions

cascade into agricultural input cost; (e) consumer-energy bill subsidy fiscal cost feeds back into deficit trajectory and OAT-Bund/BTP-Bund spread dynamics; (f) Polish, Czech, Slovak refining sector under MOL/Druzhba feedstock disruption; (g) the political cost of any winter brown-out or industrial curtailment feeds directly into AfD/Reform/RN polling and 2027 electoral trajectories. Lens reading: Eichengreen reads this as classic energy-political-economy under monetary-union constraints - the gas-price shock transmits directly to HICP and therefore to ECB reaction function, with no national-level monetary offset available. Vreeland reads the Hungarian/Slovak carve-out negotiation as classical IPE bargaining where smaller member-states extract rent from supranational policy. Ikenberry reads the REPowerEU-2 architecture as rules-based order adaptation under Russian coercion - the EU is constructing the energy-policy equivalent of what NATO became for security. Krugman reads the LNG terminal investment as positive industrial-policy under specific conditions (transition fuel, geopolitical-substitution premium) that justify state intervention. Acemoglu-Robinson read the gas-storage architecture as a state-capacity test - whether Bundesnetzagentur, ACER, and national equivalents can coordinate winter-readiness across 27 member-states with divergent political incentives.

Observable signals to watch

Signal	Threshold	Source
German gas storage <75% by 1 Oct 2026 OR <30% legal floor at 1 Feb 2027		
Brent sustained above USD 100 for 4 weeks		
Hungarian/Slovak carve-outs from gas-ban exceeding Apr/Jun 2026 deadlines		
Aspides escorts increased to >daily cadence in Red Sea		
Strait of Hormuz disruption >7 days		

Business trigger: Utility hedging book reviews (RWE, EnBW, Engie, Iberdrola, Centrica); industrial customer fixed-price contract renegotiation cycle; LNG charter and terminal slot premia; chemicals / fertiliser plant utilisation decisions; consumer-energy bill subsidy fiscal cost feeding back into deficit trajectory.

S004

Likely

Probability 60.0%

9

The CBAM-AI Act Backlash: Brussels-Effect at Tariff-Point

EU regulatory power crystallises just as US/CHN/IND/TUR pushback intensifies; regime survives core but accumulates exemptions.

Two pillars of EU regulatory power crystallise in 2026: CBAM's definitive regime live 1 January 2026 (Q1 certificate price EUR75.36/tCO₂e, certificate sales from 1 February 2027, scope expansion review under negotiation), and AI Act GPAI enforcement triggering 2 August 2026 (fines up to 3% of worldwide turnover or EUR15m, with first formal Commission investigation expected within Q4 2026 against a major US frontier-AI provider). The Brussels-effect leverage is real: CBAM forces global decarbonisation accounting onto every exporter to the EU; AI Act forces global frontier-model governance onto every provider with EU users. But this regulatory power crystallises precisely as US, Chinese, Indian, Turkish and Brazilian pushback intensifies. Causal chain: (i) Q3 2026 first AI Act enforcement notice opens against a US frontier-AI provider; (ii) US bilateral pressure escalates - Trump 2026 sectoral tariff on EU tech services and pharma, possibly extending Section 232 logic to digital services; (iii) CBAM WTO disputes filed by Beijing, Delhi and Ankara on most-favoured-nation grounds, with Brazil and South Africa joining on developing-country differential treatment; (iv) WTO Dispute Settlement Body remains paralysed under continued US Appellate-Body veto; (v) intra-EU industrial-competitiveness lobbying (Wirtschaftsrat, MEDEF, Confindustria, Cefic, Eurofer) demands sectoral CBAM carve-outs under Draghi-2 / Competitiveness Compass review; (vi) Commission accumulates exemptions to preserve regime core (steel, chemicals, cement, fertilisers maintained; aluminium and hydrogen-derivatives expanded; electricity remains contentious); (vii) AI Act first-enforcement settles with monetary penalty plus compliance undertakings, establishing the regulatory precedent without total US capitulation. Historical analogue: the closest analogue is the 1970s-80s GATT Tokyo Round-Uruguay Round period - the construction of services trade, intellectual property and agriculture into the multilateral trade regime against resistance from major developing-country exporters. CBAM and AI Act are the 2020s analogues to TRIPS and GATS - rules that initially face concerted pushback but ultimately become the global standard through Brussels-effect and gravitational adoption. The lesson: regulatory regimes constructed unilaterally by a major economic bloc survive but accumulate carve-outs that erode their universalism over 15-25 years. Counter-narrative: a critical school argues CBAM is fundamentally incompatible with WTO law (Article III national-treatment, Article XX general exceptions, Article XXIV regional-trade-agreement structure) and that the first definitive WTO ruling against CBAM (which the Dispute Settlement Body cannot deliver under current paralysis but could under a 2028 reform) collapses the regime; that AI Act enforcement faces a similar structural challenge under bilateral US pressure that the Commission cannot withstand. We rate this 25-30% likely - structurally possible but politically constrained by the Commission's institutional incentive to defend its regulatory acquis. Second-order effects: (a) steel/chemicals/cement CBAM-compliance teams in scale-up across importers and exporters; (b) trade-compliance hiring at importer side (auto, machinery); (c) AI Act GPAI compliance budgets at frontier labs (Mistral, Meta, OpenAI EU subsidiaries) reach EUR50-150m per

provider; (d) legal/regulatory affairs M&A pipeline expands; (e) carbon-credit pricing desks at major banks scale up; (f) US-EU regulatory cooperation framework re-opens under Trump-II sectoral pressure - producing either grudging accommodation or full rupture; (g) China-EU comprehensive agreement on investment status revisits under CBAM dispute; (h) developing-country political backlash at COP31 and Marrakesh G20 unifies Global South against Brussels-effect overreach. Lens reading: Ikenberry frames CBAM and AI Act as rules-based-order reconstruction under multipolar conditions - the EU substituting for declining US-led multilateralism by constructing autonomous regulatory regimes that retain liberal-order substance (climate, AI safety) under coercive enforcement architecture. Krugman reads this as strategic-trade policy with environmental and safety co-benefits - the welfare economics are positive for the EU and ambiguous globally, but the political-economy of carve-out accumulation will erode the regime over time. Mearsheimer reads CBAM as economic balancing against Chinese decarbonisation-arbitrage and Russian carbon-intensive exports - rational external balancing using economic instruments. Vreeland reads the WTO-paralysis architecture as classical multilateral-decline politics where small powers lose the most. Acemoglu-Robinson read the AI Act first-enforcement as a regulatory-institution stress test - whether Commission technical capacity (DG Connect, AI Office) can administer enforcement against frontier US AI providers without political capture.

Observable signals to watch

Signal	Threshold	Source
CBAM certificate price sustained move above EUR100/tCO2e		
WTO disputes filed by 3+ partners on CBAM		
First formal Commission AI Act investigation opened within Q4 2026		
US sectoral tariff response to DMA/DSA case		
Industrial-competitiveness review under Draghi-2 / Competitiveness Compass		

Business trigger: Steel/chemicals/cement CBAM-compliance teams in scale-up; trade-compliance hiring at importer side (auto, machinery); AI Act GPAI compliance budgets at frontier labs (Mistral, Meta, OpenAI EU subsidiaries); legal/regulatory affairs M&A pipeline; carbon-credit pricing desks at major banks.

S001

Likely

10

Hybrid Frontier: Baltic Cables, Belarus Border, Sahel Wagner-2

Probability 55.0%

Russian hybrid-pressure perimeter stabilises at higher tempo; sub-redline tempo erodes deterrence credibility even without kinetic Article-5 trigger.

The Russian hybrid-pressure perimeter has stabilised at a higher-tempo baseline post-2024: Baltic Sea subsea cable cuts (multiple incidents 2024-26 including the Estlink-2, C-Lion-1 and BCS cuts, with Cinia, Cinia East, Telia and BICS reinforcement programmes underway), Polish-Belarusian border instrumentalised migration (suppressed under Poland's October 2024 asylum-suspension law but probing continues), shadow-fleet sabotage and interception (Marinera/Ethera seizures January-February 2026 as enforcement bite), Africa Corps consolidation (~2,500 personnel in Mali, expanding to Chad and Togo per Sentry April 2026 reporting), CSDP-mission displacement across Sahel (EUTM Mali withdrawn 2022, EUMPM-RCA constrained, EUMPM-Niger suspended after July 2023 coup), and Russian cyber and information-operations tempo elevated against German, Polish, French and Romanian elections. Kinetic-spillover redlines are well-defined (Article-5 territory attack, sustained sabotage on critical EU infrastructure with attribution) but sub-redline tempo erodes deterrence credibility and consumes EU institutional bandwidth. Polish Eastern Shield border-fortification (4m mesh + concertina + thermal across 186km Podlaskie sectors from 12 April 2026) is the material answer; NATO Baltic Sentry the maritime answer; NIS2/CER the digital answer. Causal chain: (i) Russian hybrid-tempo continues at one major incident per quarter affecting NATO-shared critical infrastructure; (ii) Polish Eastern Shield reaches operational closure on Podlaskie sectors end-2026; (iii) Baltic Sentry escort cadence increases under each cable-cut incident, normalising naval presence in Baltic chokepoints; (iv) Russian retaliation through Belarus warhead-storage activity (Oreshnik forward-positioning, RS-26 mobile units) escalates deterrence-signalling; (v) any single misattributed incident or naval interaction (Suwalki-gap probe, Kaliningrad transit dispute, accidental airspace violation) carries Article-4-trigger probability of 5-10%; (vi) Article-5 trigger probability remains 1-3% per year but cumulative through the M-horizon is 3-8%; (vii) Africa Corps Chad/Togo deployment compounds Sahel CSDP-mission failure and shifts French Operation Barkhane successor planning; (viii) Russian shadow-fleet sabotage in North Sea oil/gas infrastructure carries 10-15% probability per year. Historical analogue: the closest analogue is the 1948-1958 Berlin Crisis / Quemoy-Matsu period - a sustained sub-conventional-warfare tempo where Soviet/Chinese pressure stabilised at a level just below kinetic Article-5/8 trigger, requiring constant Western counter-pressure (Berlin Airlift, Quemoy-Matsu defence, Cuba quarantine) and producing institutional adaptation (NATO Article-5 doctrine, Truman Doctrine, eventual rapprochement). The lesson: hybrid-perimeter pressure can be managed but only through sustained, expensive, multi-decade institutional commitment that resists both escalation and accommodation pressures. Counter-narrative: a constructive view holds that Russian hybrid-capacity is structurally constrained post-Ukraine-war (Wagner/Africa Corps personnel attrition, GRU operational tempo reduced, shadow-fleet enforcement biting, Belarus Lukashenko approaching succession uncertainty), and that Polish Eastern Shield + Baltic Sentry + NIS2/CER will produce a stabilisation at lower tempo by 2027-28. We rate this 35-40%

likely. Second-order effects: (a) subsea-cable insurance and protection contracts (Hibernia, Equinix, Telxius); (b) critical-infrastructure cyber spend under NIS2/CER; (c) resilience-budget reallocation at Baltic states' energy and telco operators; (d) ESG/insurance underwriting at North Sea offshore-wind; (e) defence-counter-UAS prime order books expand; (f) Mediterranean migration-pressure redirect under Polish frontier hardening; (g) French Sahel-pivot under Wagner/Africa Corps expansion forces Operation Barkhane successor architecture; (h) GPS-spoofing and PNT-degradation incidents accelerate Galileo-PRS uptake and EU strategic-autonomy in space-based services. Lens reading: Mearsheimer reads this as classical sub-conventional balance-of-power dynamics at the contested-periphery - hybrid perimeter pressure is rational Russian strategy under conventional inferiority. Eurasianism (read inversely from Dugin's framework) provides the Russian-strategic-culture lens: the Baltic-Belarus-Sahel arc is the explicit Eurasianist frontier where Russia contests Atlanticist hegemony through hybrid means. Wendt reads the cable-cuts and migration-instrumentalisation as identity-constitutive coercion - making NATO societies feel the cost of frontier-defence directly. Ikenberry sees the NIS2/CER/Baltic Sentry architecture as rules-based order adaptation under sub-conventional pressure - building the regulatory and military infrastructure for hybrid-deterrence. Acemoglu-Robinson read Polish Eastern Shield as a state-capacity test (Border Guard, Territorial Defence Forces, civil-military

Observable signals to watch

Signal	Threshold	Source
More than one state-attributed sabotage incident per quarter affecting NATO-shar		
Belarus border attempted crossings exceeding 2,000/month sustained for 2 consecu		
Africa Corps confirmed deployment to Chad or Togo		
Second Oreshnik live-fire demonstration or Belarus warhead-storage activity		
Shadow-fleet tanker seizures > 2/month by NATO coastal states		

Business trigger: Subsea-cable insurance and protection contracts (Hibernia, Equinix, Telxius); critical-infrastructure cyber spend under NIS2/CER; resilience-budget reallocation at Baltic states' energy and telco operators; ESG/insurance underwriting at North Sea offshore-wind; defence-counter-UAS prime order books.

04

Tail Risks — Snow Leopards & Wild Cards

Less likely but high-impact scenarios. Each priced with a probability band, magnitude, early-warning indicators, an if-it-materialises cascade, and a historical parallel.

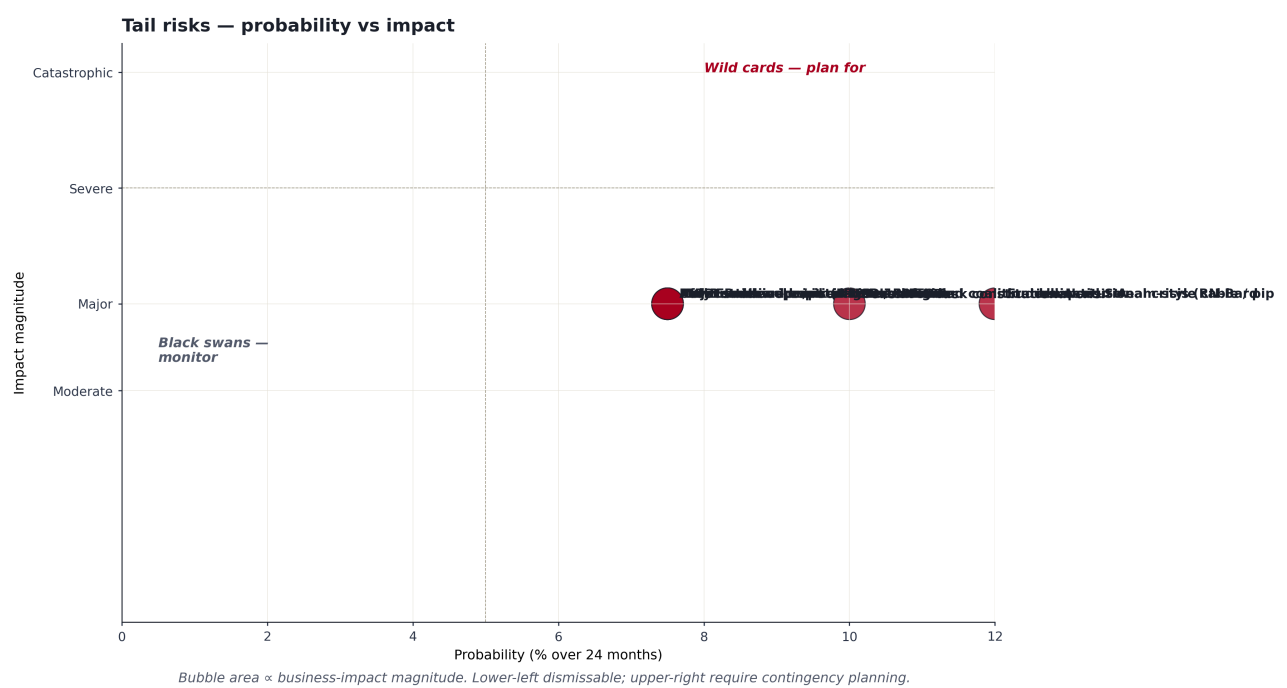


Exhibit 4.0 — Tail-risk panel: probability vs impact-magnitude. Bubble area $\propto$ business impact.

Source: GIPRE synthesis (v4).

Putin sudden incapacitation -> Kremlin succession crisis

WILD CARD

Pr 5-10%

5/5 - UKRAINE
FRONT STATUS
UNC

Health event, internal coup, or assassination producing 3-12 month succession uncertainty; Patrushev/Kovalchuk/Mishustin/Sechin/Medvedev/Dyumin contenders; FSB-GRU-MoD-Rosgvardia balance unstable

Major Russian provocation on NATO territory (Baltic incursio

WILD CARD

Pr 5-10%

5/5 - ARTICLE-4
CONSULTATION C

Kaliningrad transit dispute escalation, accidental or deliberate airspace violation by Russian fighter, Belarus-staged hybrid incursion in Suwalki gap, Estonian/Latvian territory cyber-physical attack

German grand coalition collapse -> AfD-CDU minority or new-e

WILD CARD

Pr 10%

5/5 - EU
MUTUALISATION
ROADMAP

SPD federal-coalition exit under Brandmauer-breach state pressure (Saxony-Anhalt) or under defence-budget vs welfare-state distributive collision; CDU loses Bundestag majority on Vertrauensfrage; AfD becomes effective coalition kingmaker

French institutional crisis (RN-Bardella government 2027 adv

WILD CARD

Pr 12%

5/5 - OAT-BUND
SPREAD
BLOWOUT

Lecornu no-confidence success producing early dissolution under Macron Article-12; Bardella RN wins legislative second-round in 2026 Q4 / 2027 Q1; cohabitation with Macron until 2027 presidential

Italy Eurobond crisis (BTP-Bund >400bp, redenomination-risk

WILD CARD

Pr 5-10%

5/5 - ECB TPI
ACTIVATION
UNDER

Meloni coalition collapse on fiscal-discipline vs welfare collision, Salvini-Lega exit and snap-election, post-election government with Eurobond-renegotiation language; BTP-Bund crosses 350bp then 400bp on redenomination-risk pricing

Polish PiS-Tusk constitutional crisis (President-Government

WILD CARD

Pr 10%

4/5 - POLISH DEFE
NCE-INDUSTRIA

President Nawrocki vetoes judicial-restoration legislation; Constitutional Tribunal rulings under contestation; PiS/Konfederacja street mobilisation; cohabitation with Tusk government breaks down before 2027 parliamentary cycle

UK Scottish separation vote / Reform UK government early-tra

WILD CARD

Pr 5-10%

4/5 - GBP
VOLATILITY
15-25%, U

SNP-Greens-Alba coalition demands second independence referendum under Labour fiscal-austerity pressure; Westminster denial triggers Catalonia-style constitutional crisis; or Reform UK becomes plurality party forcing Starmer confidence-vote

05

Master Scenario Library

100 scenarios partitioning the outcome space across stress × GP archetype × flashpoint set.

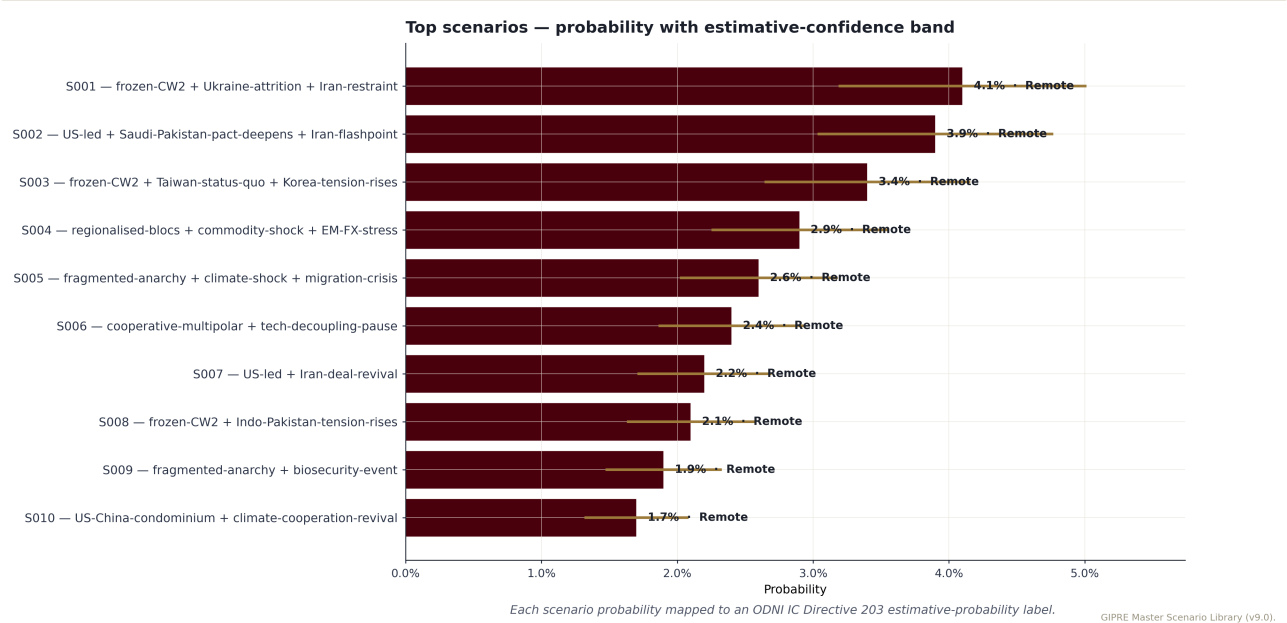


Exhibit 5.1 — Top-10 master scenarios — probability with estimative-confidence band.

Source: GIPRE master library; conformal CI per Vovk-Gammerman-Shafer 2005.

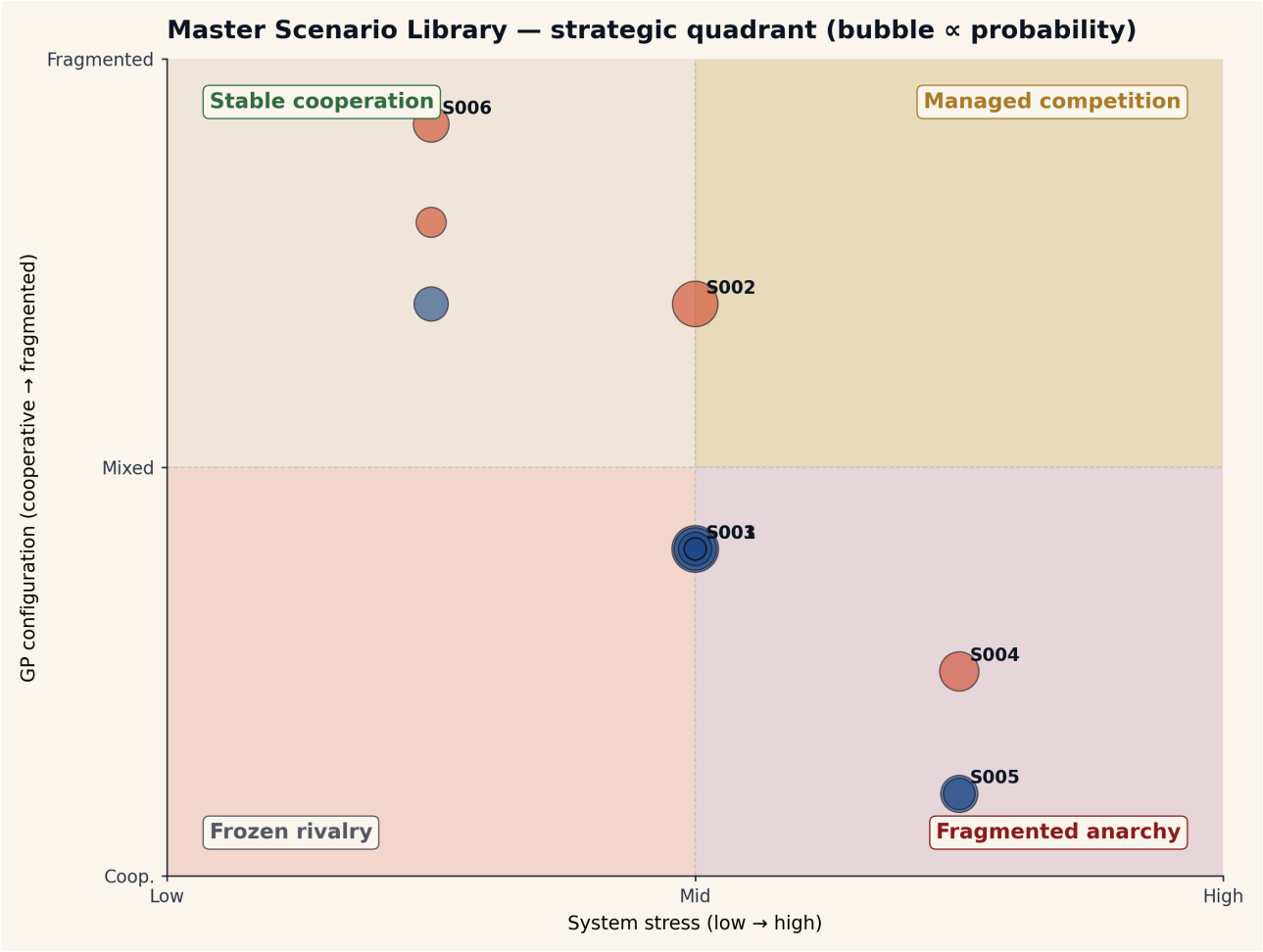


Exhibit 5.2 — Strategic 2×2 quadrant. Bubble area $\propto$ probability.

06

Bayesian Updates

Explicit prior-to-posterior probability shifts for the brief’s load-bearing hypotheses.

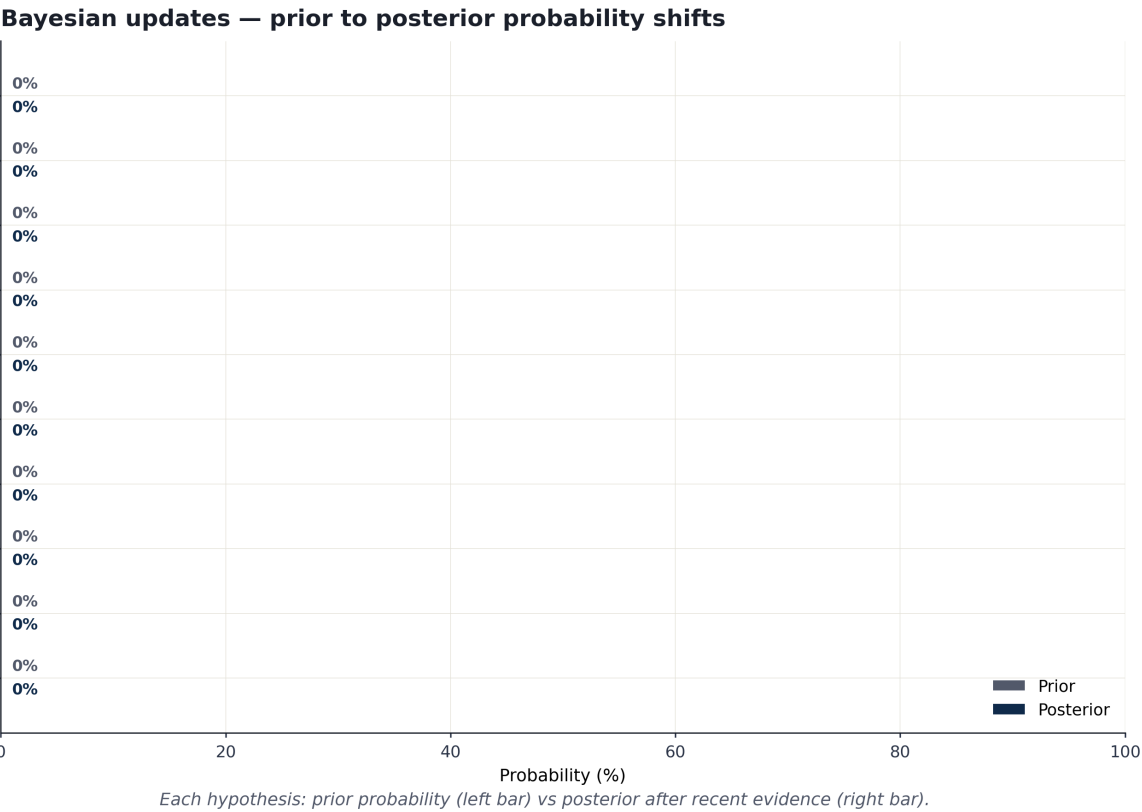


Exhibit 6.1 — Each hypothesis: prior probability vs posterior after recent evidence.

Source: GIPRE synthesis Bayesian updates.

07

Actor Posture

Coalition geometry and Geostrategic Map (foreign-policy autonomy × economic sovereignty).

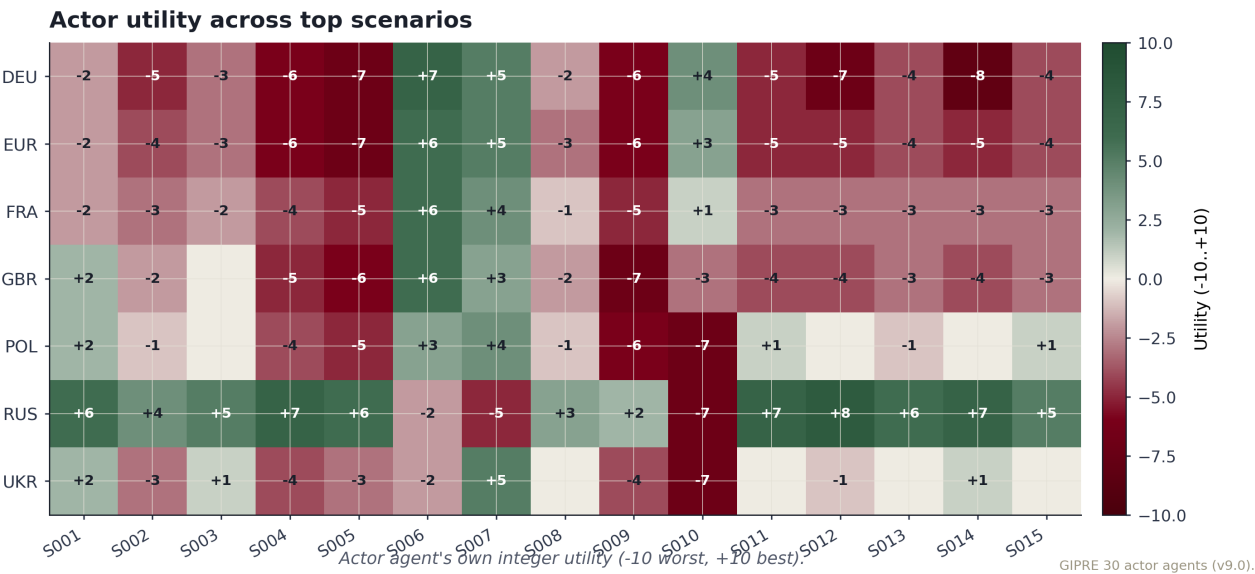


Exhibit 7.1 — Actor utility heatmap (-10 worst, +10 best) under top-15 scenarios.

Source: GIPRE 30 actor agents.

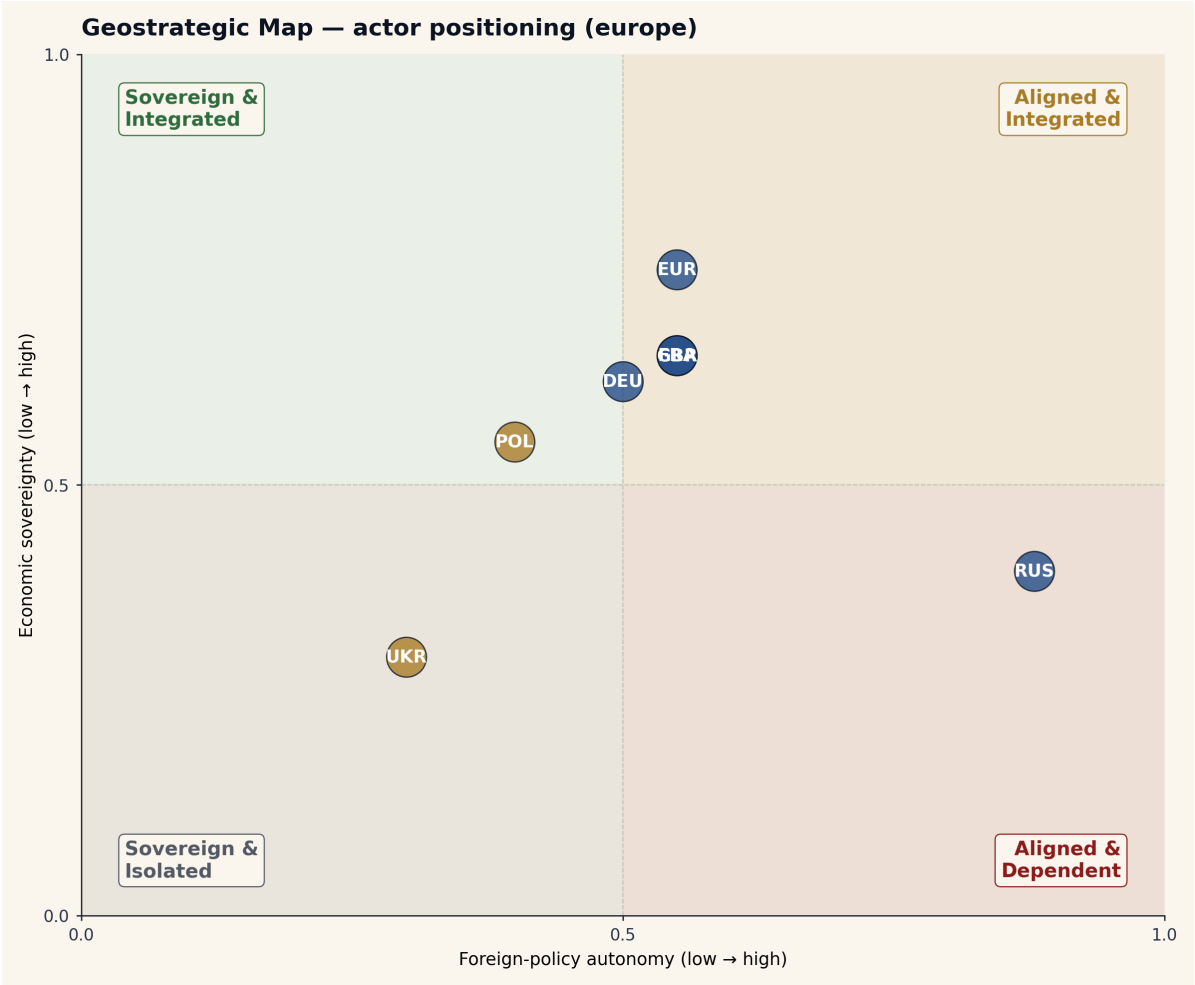


Exhibit 7.2 — Geostrategic Map. Foreign-policy autonomy × economic sovereignty.

08

Country / Actor Deep Dives

One-page profile per regional actor.

EUR

European Union (supranational)

Capital Brussels
Pop 449M (2025)
GDP \$19.90T (2025)
Mil-spend 1.9% GDP

Dominant uncertainties cluster around three nodes. First, US policy: whether Trump's 4 July 2026 tariff deadline produces a workable Turnberry-2 deal or a 25-30% auto/pharma tariff escalation that forces Anti-Coercion Instrument activation and ruptures the transatlantic security-trade bargain. Second, Ukraine financing durability: the December 2025 EUR90bn joint-debt fix bought time but the reparations-loan legal architecture remains untested, and a Russian summer-2026 offensive plus stalled SAFE absorption could re-open the funding gap. Third, eurozone macro-fiscal: ECB at 2.00% is squeezed b

Core interests

1. Sustain Ukraine financing and military pipeline through 2027 to deny Russia a frozen-front victory and preserve the post-1945 territorial-integrity norm (EUR90bn joint-debt package agreed Dec 2025 must be disbursed; reparations-loan legal track must be kept alive as fallback) [source: NPR 2025-12-19; EP Think Tank EPRS_BRI(2025)779267, ret. 2026-05-10]
2. Manage the US trade rupture: stabilise the von der Leyen-Trump Turnberry deal, neutralise the 25% auto tariff threat by 4 July 2026 deadline, and keep transatlantic security cooperation insulated from trade frictions [source: Euronews 2026-05-01; CNBC 2026-05-08, ret. 2026-05-10]
3. Execute ReArm Europe / Readiness 2030: mobilise up to EUR800bn defence envelope, draw down SAFE EUR150bn loan facility, and lock member-states onto NATO 3.5%-of-GDP path by 2029 with Germany's record EUR108bn 2026 budget as anchor [source: Consilium EU defence in numbers, ret. 2026-05-10; Nordic Defence Review 2026; Atlantic Council 2025]
4. Defend single-market integrity and Schengen against migration-driven hard-right insurgency; operationalise the Pact on Migration & Asylum (in application 12 June 2026) and the Return Regulation to deflate Le Pen / AfD / Magyar-style critiques [source: European Strategy / EU Pact, ret. 2026-05-10]
5. Operationalise CBAM (definitive regime live 1 Jan 2026; certificate sales from 1 Feb 2027) at Q1 price EUR75.36/tCO₂e without triggering WTO retaliation from Beijing, Delhi or Ankara [source: EC Taxation & Customs, ret. 2026-05-10]

Key drivers

- US strategic reliability under Trump-II: NATO Article-5 credibility, tariff escalation, Ukraine backstop withdrawal - dominant structural shock to EU strategy
- Russia war-economy endurance vs EU/Ukraine attrition: frozen-CW2 baseline holds, but reparations-loan legal architecture and EUR90bn debt-financed package determine 2026-27 burden-sharing
- Hard-right insurgency cycle: Magyar's Apr-2026 win in Hungary is offset by Nawrocki cohabitation in Poland, Le Pen polling, AfD second-place in Germany; migration politics + cost-of-living dictate EU institutional bandwidth
- Energy-cost competitiveness gap: Iran-war-driven Brent shock pushes HICP to 3% with Q1 GDP at 0.1%; structural gas-price gap vs US persists, undermining Draghi-report implementation

Near-term observable signals

Signal	Threshold
ECB deposit-rate change from 2.00%	+/- 25bp move at any 2026 Governing Council meet
Ukraine EUR90bn loan disbursement pace	First EUR15-20bn tranche disbursed by end-Q2 202

Redlines

- Member-state formal withdrawal vote or Article 50 notification beyond UK precedent (would trigger emergency Council and treaty-defensive measures)
- Russian kinetic strike on NATO Article-5 territory (Baltic, Polish or Romanian soil) or sustained sabotage campaign attributed to GRU on critical EU subsea / energy infrastructure
- US unilateral withdrawal from NATO or formal Article-5 derogation, or US tariffs escalating above 30% on EU goods triggering Anti-Coercion Instrument activation
- Iranian closure of Strait of Hormuz beyond 30 days driving Brent above USD 120 and pushing eurozone HICP above 4% sustained
- Hungarian or Slovak veto causing collapse of Ukraine EUR90bn disbursement schedule beyond Q3 2026 (Orban's post-Apr-2026 defeat reduces this risk but Fico in Bratislava remains active)

US-EU tariff trajectory after 4 July 2026 Trump deadline	Auto tariff rises from 15% Turnberry baseline to
EU aggregate defence spend % of GDP	Above 2.1% in 2025 (estimated); track to 2.5% by
SAFE EUR150bn loan facility uptake	First tranche allocations to member states by Q3
CBAM Q-by-Q certificate price	Q1 2026 EUR75.36/tCO2e baseline; sustained move

GBR

United Kingdom

Capital London

Pop 68M (2025)

GDP \$3.49T (2025)

Mil-spend 2.3% GDP

Dominant uncertainty is the depth and durability of the US-led order under Trump-era policy - specifically whether Five-Eyes intelligence carve-outs, Article-5 ambiguity, and tariff/economic friction become structural or revert with a 2028 administration shift. Secondary uncertainty is domestic: whether Reform UK's surge forces Labour into a defensive migration-and-EU posture that constrains foreign policy bandwidth, and whether fiscal headroom survives stagflation (CPI 3.3%, growth 1.1% 2026) without breaching the 2.5%-by-2027 defence pledge. Tertiary uncertainty is escalation pathway in three

Core interests

1. Preserve the trans-Atlantic special relationship and Five-Eyes intelligence privilege as the keystone of UK external leverage, even as Trump-era trust erosion forces hedging (Ikenberry: liberal-order club goods still flow disproportionately through Anglosphere bilateral channels).
2. Sustain Ukraine support (GBP3bn/year military aid commitment to 2030) and NATO Article-5 deterrence on the eastern flank as the operative redline; Russia is named the 'immediate and pressing threat' in SDR 2025 [source: commonslibrary.parliament.uk CBP-10285, retrieved 2026-05-10].
3. Reach 2.5% of GDP defence spend by 2027 and 3.5% core defence by 2035 (NATO Hague pledge), translating fiscal pain into Mearsheimer-style hard-power credibility against Russia and as price-of-entry for US burden-sharing demands [source: lordslibrary.parliament.uk, retrieved 2026-05-10].
4. Defend City of London competitiveness and sterling's residual reserve role (~5% COFER) via EU reset (TCA 2026 review, SPS/ETS linkage, Security & Defence Partnership) while avoiding single-market re-entry that breaches Labour red lines (Eichengreen: network effects in financial centres are sticky but contestable).
5. Execute AUKUS Pillar 1 milestones - SRF-West Astute rotations in WA from 2026, SSN-AUKUS build start by 2030, first UK boats late-2030s - as the principal Indo-Pacific anchor and industrial-base subsidy [source: minister.defence.gov.au 2026-02-22, retrieved 2026-05-10].

Redlines

- Russian conventional attack on a NATO member's territory (Baltic states, Poland) - triggers Article 5 invocation and full UK expeditionary mobilisation.
- US formal withdrawal from NATO Article 5 obligations or expulsion of UK from Five-Eyes raw-intel feeds - triggers emergency E3+ (UK-FRA-DEU) security architecture and accelerated nuclear-cooperation hedge with France.
- Russian nuclear use (tactical or strategic) in Ukraine theatre - triggers UK joining a graduated allied response including conventional strikes on the launch chain.
- Iranian nuclear-weapon breakout (weapons-grade enrichment + weaponisation evidence) - triggers UK support for Israeli/US kinetic action and tightening of post-snapback UN sanctions regime [source: commonslibrary.parliament.uk CBP-9870, retrieved 2026-05-10].
- Chinese kinetic blockade or invasion of Taiwan - triggers UK sanctions alignment with G7, carrier-strike-group redeployment east, and AUKUS Pillar 2 acceleration even at cost to European theatre.

Key drivers

- Trump-era US ally policy and Five-Eyes trust erosion (Mearsheimer: hegemon's burden-shedding forces secondaries to self-help)
- Russia threat continuity in Ukraine and NATO eastern flank (immediate and pressing per SDR 2025)
- UK fiscal headroom, BoE rate path, and gilt-market discipline as binding constraint on every grand-strategic choice (Eichengreen: financial-centre primacy is a function of fiscal credibility and depth)
- Reform UK political insurgency reshaping domestic coalition space for Atlanticist-pro-Ukraine policy

Near-term observable signals

Signal	Threshold
UK defence spending as % of GDP (NATO definition) trajectory	Reaches 2.5% by FY2027 as committed (currently 2
BoE Bank Rate path	Bank Rate cuts to 3.25-3.00% by end-2026 consist
Ukraine military-aid disbursement	GBP3bn/year delivered in calendar 2026 including
AUKUS Pillar 1 SRF-West rotation cadence	First Astute rotation (HMS Anson model) sustaine
Five-Eyes operational trust	Number of US-imposed intel-sharing carve-outs (R
Reform UK polling and by-election performance	Reform sustained >25% in YouGov national VI f

FRA

French Republic

Capital Paris

Pop 66M (2025)

GDP \$3.05T (2025)

Mil-spend 2.1% GDP

The dominant uncertainties are (1) whether the Lecornu government survives the 2026 budget cycle without forcing another dissolution before 2027, and whether the Le Pen ban survives appeal - either resolution reshapes France's strategic latitude; (2) whether 'dissuasion avancée' translates into actual forward-basing (signalling vs operational) and whether Germany commits beyond consultative groups to financial co-burden; (3) whether the US under its 2025/2026 strategic guidance executes a partial Europe drawdown or strikes a unilateral Ukraine deal with Moscow, which would force France to choose

Core interests

1. Preserve a viable Europeanised nuclear deterrent under exclusive French command and lock in 'dissuasion avancée' partnerships (DEU, POL, GBR, NLD, BEL, GRC, SWE, DNK) before the 2027 election
2. Maintain government solvency and parliamentary survival of the Lecornu cabinet: cut the deficit toward 4.7-5.0% of GDP in 2026 without triggering a no-confidence motion or a second Fitch/Moody's downgrade cascade
3. Engineer European strategic autonomy in defence-industrial capacity (SCAF/FCAS, MGCS, ammunition, missiles) and AI compute (Mistral, Bruyeres-le-Chatel datacentre) before US offloading under the 2026 NDS becomes irreversible
4. Manage controlled disengagement from the Sahel while pivoting to Anglophone Africa (Africa Forward Nairobi summit May 2026, Kenya, Nigeria) and defending the Djibouti and Gabon residual posture
5. Keep Ukraine functionally armed and the Franco-British troop-deployment pledge credible enough to deter Russian fait-accompli without crossing French casualty thresholds

Redlines

- Russian conventional incursion into a NATO Article 5 state (Baltics, Poland) or use of a tactical nuclear weapon in Ukraine - triggers French nuclear signalling and forward-basing under 'dissuasion avancée'
- Collapse of the Lecornu government followed by a successful left-bloc or RN motion that forces a new dissolution before the 2027 presidential calendar - escalates to constitutional crisis posture
- A second sovereign-credit downgrade (Moody's or S&P to A+ band) plus OAT-Bund spread widening past ~120 bp, forcing emergency ECB intervention or an EU-IMF style fiscal conditionality
- Loss of Djibouti basing rights or expulsion from Gabon - eliminates French Indo-Pacific/Indian Ocean logistical chain and forces a strategic pull-back
- Iranian breakout to a tested weapon, or a unilateral US-Israel strike that the E3 cannot constrain - blows up the September 2025 snapback architecture France co-led

Key drivers

- Hung National Assembly and Lecornu's parliamentary-survival math (NFP 180 / Ensemble 159 / RN 142 of 577 seats) - constrains every fiscal and foreign-policy lever
- RN ascendancy and the 2027 presidential clock - Bardella polling 34-35% first round, Le Pen ban under appeal, shapes Macron's risk-tolerance for unpopular reform
- US strategic offloading under the 2026 NDS / 2025 NSS - forces France to monetise its nuclear deterrent and accelerate Europeanisation (Northwood Declaration July 2025, Merz-Macron 2 March 2026 nuclear group)

- Fiscal arithmetic: 5.4% deficit 2025 -> targeted 4.7-5.0% 2026, Fitch downgrade to A+, OAT-Bund spread - any shock collapses the consolidation path

Near-term observable signals

Signal	Threshold
OAT-Bund 10-year spread crossing a fiscal pain threshold	>90 bp sustained for 30 trading days OR any s
No-confidence vote against Lecornu government	Any motion gathering >=289 of 577 deputies (a
RN polling for 2027 presidential first round	Bardella sustained >36% first-round intention
Forward-deployment of French nuclear-capable Rafale to a partner state under 'dissuasion	First confirmed permanent or rotational deployme
French/EU defence-industrial output ramp	France defence budget executes >=EUR 57 bn in
Mistral compute build-out at Bruyeres-le-Chatel	Q2-2026 operational milestone hit (13,800 GB300

DEU

Federal Republic of Germany

Capital Berlin

Pop 84M (2025)

GDP \$4.59T (2025)

Mil-spend 1.9% GDP

The dominant uncertainty is the joint trajectory of three reinforcing shocks: (1) whether the Trump-EU trade war stabilises at 15% or escalates beyond 25% on autos; (2) whether the Iran-war energy shock proves transitory or extends into winter 2026/27 with gas-storage cascades; and (3) whether the CDU-SPD coalition survives the Sept 2026 state elections given SPD collapse to 12-15% and AfD at 26-41% across federal/state polling. A secondary uncertainty is whether the EUR 500bn special fund delivers productive investment in 2026 (vs the ifo critique that 95% of 2025 borrowing plugged budget gap

Core interests

1. Preserve export-led industrial model under simultaneous US auto-tariff shock (25% on EU cars/parts, announced 1 May 2026) and Chinese EV displacement (German Big Five down to 1.6% Chinese EV market share, Q1 2026) — Krugman-style trade-geography rents are eroding fastest in autos/chemicals, so defending market access in both US and China is existential, not optional
2. Execute Zeitenwende defence ramp to NATO's new 2.8%-of-GDP 2026 benchmark and 3.5% core / 5% total by 2035 path, using the EUR 108.2bn 2026 defence budget and the post-March 2025 debt-brake exemption for defence above 1% of GDP
3. Stabilise energy supply through winter 2026/27 after gas storage fell to ~28% by Feb 2026 (from 76% start-of-season) and Iran-war oil shock cut official 2026 GDP forecast to 0.5% from 1.0% — energy-intensive industries (~1M jobs, 17% of industrial GVA) cannot survive a second price spike
4. Defend the inclusive-institutional firewall against AfD (polling 26-27.5% national, 41% Saxony-Anhalt state) — Acemoglu-Robinson logic: if Sept 2026 Saxony-Anhalt/Mecklenburg-Vorpommern elections normalise AfD coalition participation, the political economy of reform becomes structurally unworkable
5. Deploy the EUR 500bn infrastructure/climate special fund (EUR 58bn from the fund in 2026, total investment ~EUR 120bn) to credibly reset growth before voters punish the CDU-SPD coalition — ifo's critique that 95% of 2025 new debt plugged budget gaps must not repeat in 2026

Redlines

- Russian conventional aggression against any NATO Article 5 territory — particularly Baltic states, Poland, or a Suwalki/Kaliningrad incident — automatic Bundeswehr forward-deployment activation
- Closure or major sabotage of Baltic Sea undersea infrastructure (cables, NordStream-replacement pipelines, LNG terminal feeds) attributable to Russian state actors — triggers NATO Baltic Sentry escalation and German Article 4 invocation
- US unilateral withdrawal of forces from Germany beyond announced drawdown, or US formal exit from NATO Article 5 commitments — would force emergency Franco-German nuclear-deterrence dialogue beyond current confidential talks
- US auto tariff escalation above the announced 25% to punitive 50%+ levels, or sectoral expansion to chemicals/machinery — triggers EU countermeasure activation and German pivot to Indo-Pacific export reorientation
- Chinese export controls on rare-earth/gallium/germanium directed specifically at German auto and chip-equipment supply chains — triggers emergency stockpile release and accelerated India/ASEAN sourcing

Key drivers

- Export-model erosion under simultaneous US tariff shock (25% auto tariff, 1 May 2026) and Chinese EV/EV-input displacement (Big Five at 1.6% Chinese market share) — Krugman trade-geography logic: rents from intra-industry trade are collapsing in autos and machinery simultaneously
- Fiscal-regime change via the March 2025 debt-brake reform: EUR 500bn special infrastructure/climate fund + defence-above-1%-GDP exemption is the largest German fiscal regime shift since reunification (Eichengreen-style: structural break in creditor-nation macroeconomic identity)
- Inclusive-institution stress test from AfD penetration (26-27.5% national, 41% Saxony-Anhalt) — Acemoglu-Robinson logic: the Brandmauer is the institutional cordon sanitaire whose breach would re-shape German political economy for a generation
- Zeitenwende defence ramp under NATO's new 2.8% 2026 benchmark / 3.5% core 2035 path with EUR 108.2bn 2026 budget — historic break from the pacifist post-1949 strategic identity

Near-term observable signals

Signal	Threshold
AfD national polling level — breach of 30% or coalition entry at state level (Saxony-Anh	AfD >= 30% nationally OR enters any state gov
German gas storage refill trajectory ahead of winter 2026/27	Storage below 75% by 1 Oct 2026 OR below 30% leg
US-EU auto tariff trajectory after Trump's 1 May 2026 25% announcement and 4 July 2026 d	Tariff implemented at 25% OR escalated to >=
German defence spend share of GDP — actual delivery against the 2.8% NATO 2026 benchmark	2026 outturn below 2.5% of GDP OR EUR 108.2bn bu
German Big Five (VW/Audi/BMW/Mercedes/Porsche) EV share in China	Combined Chinese EV market share falls below 1.5
Federal deficit trajectory under fiscal expansion plus Iran-shock costs	Deficit > 4.5% of GDP in 2026 outturn (vs 4.2

UKR

Ukraine

Capital Kyiv

Pop 37M (2025)

GDP \$0.18T (2025)

Mil-spend 36.7% GDP

Dominant uncertainty over the M-horizon is whether Trump's 20-point plan converges on a settlement Kyiv can accept (current sticking points 12 and 14 are existential) or collapses into a no-deal scenario where the US withdraws while Russia continues attritional pressure - the latter forces Ukraine onto a Europe-only support track that EU ReArm/SAFE may not be able to scale fast enough through 2027. Secondary uncertainty: whether the Iran-war diversion of Patriot/PAC-3 stocks is temporary (Iran-deal-revival scenario S007) or structural (multi-quarter US air-defence shortage), determining urban-

Core interests

1. Survival as a sovereign state in defensible borders: prevent any settlement that codifies de jure transfer of Donetsk/Luhansk and forces Ukrainian withdrawal from currently-held Donbas territory; sticking points 12 and 14 of the 20-point plan are existential. [source: <https://kyivindependent.com/zelensky-reveals-20-point-peace-plan-draft-backed-by-ukraine-us/> retrieved 2026-05-10]

2. Lock in legally binding Article-5-like security guarantees, UK/France military hubs on Ukrainian territory, and a 800,000-strong peacetime army before any ceasefire freezes the line. [source: <https://www.consilium.europa.eu/en/press/press-releases/2026/01/06/robust-security-guarantees-for-a-solid-and-lasting-peace-in-ukraine-statement-of-the-coalition-of-the-willing-issued-by-france/> retrieved 2026-05-10]

3. Sustain Western military-financial life-support given the Trump administration's drawdown: secure the EUR 90bn EU joint-borrowing package (Dec 2025), expand PURL contributions from Germany/Norway, and offset US Patriot/PAC-3 starvation caused by Iran-war diversion. [source: <https://www.aljazeera.com/news/2025/12/19/eu-agrees-hefty-105b-ukraine-loan-without-using-russian-assets> retrieved 2026-05-10; <https://foreignpolicy.com/2026/05/04/us-iran-war-ukraine-patriot-missiles-air-defense-purl/> retrieved 2026-05-10]

4. Scale the asymmetric drone-and-deep-strike war: monthly long-range drone launches now exceed Russia's (>7,000 in March 2026) and have cut Russian refinery throughput to a 17-year low; this is Kyiv's primary coercive lever on Moscow's war economy. [source: <https://www.rferl.org/a/ukraine-russia-drone-deep-strikes-oil/33751182.html> retrieved 2026-05-10]

5. Open all six EU-accession negotiation clusters formally by June 2026 and close at least one by year-end, neutralising Hungarian veto via QMV workarounds or side-deals. [source: <https://babel.ua/en/news/126510-zelen-sky-ukraine-expects-to-open-negotiation-clusters-on-eu-accession-by-june> retrieved 2026-05-10]

Key drivers

- Russian war-economy endurance vs Ukrainian drone-attribution of refining/logistics capacity (refinery throughput at 17-year low per RFE/RL May 2026).
- Trump administration's transactional disengagement and explicit closure of NATO membership door, forcing pivot to EU-Coalition-of-the-Willing security architecture (Mearsheimer: balance-of-power dynamics; Ikenberry: liberal order erosion).
- EU's belated rearmament (EUR 800bn ReArm/SAFE) and joint-debt financing (EUR 90bn loan Dec 2025) becoming Ukraine's primary external anchor.

Redlines

- De jure recognition of Russian sovereignty over Crimea, Donetsk, Luhansk, Zaporizhzhia, or Kherson, or any forced withdrawal from Ukrainian-held Donbas (point 14) - triggers refusal to sign and escalation of deep-strike campaign.
- Hard cap on Ukrainian armed forces below ~800k or prohibition on long-range missiles - treated as disarmament and rejected outright.
- Formal NATO closure ('dead' per Economist April 2026) without a binding bilateral/coalition-of-the-willing Article-5-equivalent substitute - triggers fallback to nuclear-latency hedging rhetoric and accelerated EU-only security pact.
- Total cutoff of US Patriot/PAC-3 interceptor flow combined with collapse of the EUR 90bn EU loan disbursement - triggers emergency mobilisation expansion (drop to age 23) and rationing of air defence to military targets only.
- Russian breakout that captures a Donbas fortress belt city (Pokrovsk, Kostiantynivka, Kramatorsk, or Sloviansk) - triggers general mobilisation surge and demand for Coalition-of-the-Willing forward deployment pre-ceasefire.

- Demographic-mobilisation ceiling: 36.7M population, ~36.7% mil-spend/GDP unsustainable beyond 24 months; manpower is now the hard constraint, not weapons.

Near-term observable signals

Signal	Threshold
Russian gross territorial gains per month (ISW measurement)	If gains exceed 200 km^2/month for two consecuti
US Patriot PAC-3 MSE interceptor deliveries to Ukraine	If deliveries fall below 30 interceptors/month s
EU EUR 90bn loan disbursement schedule	If Q2 2026 tranche (~EUR 20bn target) slips beyo
Russian crude oil refinery throughput	Sustained <4.5 mbpd (current 17-year low per
Formal opening of EU accession negotiation clusters	If all six clusters not formally opened by 30 Ju
Martial law extension vote (next scheduled ~2 Aug 2026)	Failure to extend martial law triggers automatic

POL

Republic of Poland

Capital Warsaw

Pop 37M (2025)

GDP \$0.86T (2025)

Mil-spend 4.7% GDP

The dominant uncertainty is not Russia's intent (Eurasianist priors say it is fixed and revisionist) but US credibility: will Trump's offer of redeployed Germany-based forces to Poland materialise into permanent stationing, or will it be traded away in a US-Russia bargain over Ukraine? The second-order uncertainty is the Tusk-Nawrocki cohabitation: whether the EU-direct SAFE workaround and ordinance routes can sustain the rearmament tempo through the 2027 parliamentary election, or whether veto-driven paralysis forces a constitutional crisis. A third, lower-probability but high-impact uncertain

Core interests

1. Deny Russia any sub-conventional or hybrid bleed-through onto NATO Article 5 territory; lock in a permanent, expanded US ground/air presence (target >15,000 US troops; cement 'Camp Trump'/V Corps fwd HQ at Poznan as irreversible) [Mearsheimer: balance against the regional revisionist hegemon].
2. Operationalise the EUR 43.7bn SAFE loan signed 8 May 2026 + the 2026 record defence budget (4.8% GDP, ~200bn PLN) to lock in the K2/K2PL line, F-35 Husarz IOC, Krab/Homar-K/Narew/Wisla buildout, and Eastern Shield border-fortification as sunk-cost commitments PiS cannot reverse post-2027 election.
3. Keep Rzeszow-Jasionka as Ukraine's primary logistics artery (~95% of 40-nation aid in 2025; 220kt; Patriot/NASAMS umbrella through Jun-2026), and contest the new Romania hub for primacy rather than cede transit-state status.
4. Manage the cohabitation deadlock: route around Nawrocki vetoes (SAFE bill, judicial reform, electoral code) via EU-direct mechanisms and ordinance routes, while denying PiS a 2027 'sovereignty-lost' narrative.
5. Harden the Belarus border (4m mesh + concertina + thermal cameras across 186km Podlaskie sectors from 12 Apr 2026; sustain the suspended-asylum regime) to keep Lukashenka's instrumentalised-migration tool dry [Eurasianist read: Minsk is a Russian forward-projection node, not an autonomous actor].

Redlines

- Any Russian or Belarusian kinetic incursion across the Polish frontier (drone-strike causing casualties on PL territory, Suwalki-corridor probing, special-forces ingress) - triggers Article 4 immediately and Article 5 consultation [uncited-judgement, doctrinal].
- Belarus-orchestrated mass migration surge of >5,000 attempted crossings/month (vs the post-asylum-ban suppressed baseline) or a repeat of the 2021 instrumentalised flow pattern - triggers further border militarisation and EU-level escalation against Minsk.
- Unilateral US drawdown of forces in Poland below the existing ~10,000 baseline, OR a US-Russia 'spheres' bargain on Ukraine that excludes Warsaw from the negotiating table - triggers urgent push for EU strategic autonomy with French/Nordic nuclear-umbrella hedging [Mearsheimer: in an anarchic system without the patron, you self-help].
- A Russian-imposed Ukrainian collapse (Kyiv regime change, demilitarisation past attrition status quo, recognition of annexations beyond current LoC) - triggers Polish unilateral military aid surge and explicit support for Ukrainian insurgency logistics.
- Nawrocki vetoes that block actual delivery of SAFE-funded systems (not merely the enabling law) or block US-Poland basing agreements - triggers Tusk-government emergency ordinances and a constitutional crisis to be litigated to the 2027 election.

Key drivers

- Russia's structural revisionism vis-a-vis NATO eastern flank - Mearsheimer-consistent and Eurasianist-doctrine-consistent; sets a floor under Polish defence spending regardless of who governs in Warsaw.
- US administration unpredictability under Trump 2.0 - simultaneously offering more troops (Nawrocki-Trump 9 May 2026) AND threatening NATO ('paper tiger' rhetoric); forces Poland into Plan-B hedging while extracting maximum from Plan A.
- Tusk-Nawrocki cohabitation deadlock - 'unprecedented' veto count; structural constraint on legislation but EU-level workarounds (SAFE) and ordinance routes preserve executive bandwidth.
- Defence-industrial demand shock - SAFE EUR 43.7bn + 200bn PLN 2026 budget + K2/K9/Homar-K supply chain with Korea + HSW/PGZ/WB Group expansion - creates path-dependent industrial gravity that endures past 2027 election.

Near-term observable signals

Signal	Threshold
F-35 Husarz first operational arrivals at 32nd Tactical Air Base Lask	First 2+ airframes physically present in PL by 3
K2GF deliveries from Hyundai Rotem to Polish Army	>=30 K2GF tanks delivered by end-2026 (vs 116)
SAFE loan disbursement beyond the 15% advance	>EUR 10bn drawn by end-Q3 2026 (vs EUR 6.5bn)
Defence budget execution rate for 2026	>=90% of 200bn PLN defence allocation actual
Belarus border attempted crossings (post-asylum-ban baseline)	Monthly crossings exceed 2,000 attempts/month su
US troop presence in Poland	Confirmed announcement of >12,500 US troops p

RUS

Russian Federation

Capital Moscow

Pop 144M (2025)

GDP \$2.05T (2025)

Mil-spend 6.5% GDP

Dominant uncertainties (M-horizon, 6-24 months): (1) durability of the war-budget under combined oil-price-cap, gas-ban, and shadow-fleet attrition — point-in-time data swing wildly (Urals discount \$30.6 Feb to \$6.4 Mar 2026); (2) tempo and form of succession signalling, where elite-security tightening could equally precede a managed transition or a destabilising rupture; (3) Chinese willingness to sign Power of Siberia-2 on terms that do not subordinate Russia to a tributary energy role.

Core interests

1. Lock in irreversible territorial gains in Donbas/Zaporizhzhia/Kherson and impose de facto neutralisation on rump Ukraine before front-line momentum reverses (Russian forces lost net 116 sq km in April 2026, the first net loss since Kursk; Critical Threats ROCA May 2 2026; russiamatters.org May 6 2026).
2. Sustain war-economy financing under the 14.9 trn RUB / 6.3% GDP 2026 defence budget while absorbing Brent-Urals discount volatility (\$6.4/bbl Mar 2026 vs \$30.6/bbl Feb 2026 spike; CREA Mar 2026; Bloomberg Feb 23 2026) and the EU \$44.10/bbl dynamic price cap (EC Jan 15 2026).
3. Manage the EU stepwise gas import ban (short-term LNG ban from 25 Apr 2026, pipeline 17 Jun 2026, long-term LNG 1 Jan 2027, pipeline 30 Sep 2027; consilium.europa.eu Jan 26 2026) by redirecting LNG to China/India/SE Asia and accelerating Power of Siberia-2 leverage with Beijing.
4. Preserve strategic autonomy inside the Russia-China condominium: deepen yuan settlement and PS-1 throughput (38.8 bcm 2025; Gazprom) without conceding price/timeline on PS-2 to Chinese leverage (Columbia CGEP 2025; OIES Sep 2025).
5. Pre-position a managed succession architecture (veteran-cadre Duma 2026 cohort, Dyumin/Kiriyenko/Patrushev signalling; FPRI Apr 2026; Lansing Institute May 4 2026) to insure regime continuity against the elite-fracture/coup-risk tail.

Redlines

- Any formal NATO Article-5 extension to Ukraine or Georgia, or stationing of NATO combat troops west of the Dnipro under alliance flag.
- Long-range Western strikes on pre-2014 Russian territory (Moscow, St Petersburg, Volga industrial belt, nuclear early-warning radars) using NATO-supplied systems with NATO targeting support.
- Ukrainian or NATO operations that threaten Crimea sovereign-status or sever the Kerch land bridge.
- Sustained colour-revolution-pattern mobilisation in Belarus or a coup attempt against Lukashenko backed by Western intelligence.
- Western seizure (not just immobilisation) of the ~\$300bn frozen sovereign reserves for direct transfer to Ukraine, crossing from interest-utilisation to principal-confiscation.

Key drivers

- Ukraine front-line attritional balance: Russian net territorial losses began April 2026 (116 sq km lost; Critical Threats), suggesting offensive-realist 'window of opportunity' is narrowing — pressures Kremlin to seek political fixation of gains within M-horizon.
- Hydrocarbon revenue ceiling: EU \$44.10/bbl dynamic price cap + EU gas ban implementation 2026-27 + shadow-fleet enforcement uptick (Marinera/Ethera seizures) compress war-budget margin; offset by 48% shadow-tanker share (CREA Mar 2026) and yuan-denominated China gas trade.
- China-leverage asymmetry: Beijing extracts ~7.7% average discount on Russian crude (Apr 2022-Feb 2026, ~\$18.3 bn saved) and stalls Power of Siberia-2 pricing — Eurasianist 'condominium' is structurally junior partner, not equal.
- Succession-overhang and elite security: tightened personal Putin security, veteran-cadre Duma 2026, Dyumin/Kiriyenko/Patrushev positioning (CNN May 4 2026; FPRI Apr 2026) — succession risk is now an operational driver, not a tail.

Near-term observable signals

Signal	Threshold
Russian net territorial change in Ukraine (km ² /month).	Two consecutive months of net loss (>50 km ² /
Brent-Urals discount monthly average.	Discount sustained >\$20/bbl for 3 months cros
Shadow-fleet share of seaborne crude exports + Western seizure cadence.	>2 sanctioned-tanker seizures/month by NATO c
EU gas-ban implementation slippage / exemptions.	Hungarian/Slovak carve-outs extending past Apr 2
Power of Siberia-2 pricing / signing progress.	Public confirmation of binding price formula and
Succession-signalling indicators (Duma cadre, security-service reshuffle).	Promotion of Dyumin or Patrushev to PM/First Dep

09

Theme Cross-Cuts

Ten active themes — indicators, key triggers, and near-term outlook.

T01 — Over the M-horizon (6-24 months, base date 2026-05-10), US-C

Near-term outlook. Over the M-horizon (6-24 months, base date 2026-05-10), US-China systemic competition is structurally entrenched but tactically modulated by the Geneva-Korea tariff truce framework. Mearsheimer's offensive-realism prior and Allison's Thucydides-trap logic both predict that the underlying balance-of-power trajectory continues to dominate any cyclical de-escalation: PLA monthly ADIZ activity remains in the 300-500 sortie range with episodic 600+ exercise spikes; BIS Entity List growth continues at ~80-100 PRC adds/year as the 'small yard' enlarges into legacy chips, biotech and quantum; and the COINS Act sectoral expansion in 2026-27 progressively constrains US capital flows to PRC tech. The bilateral trade YoY arithmetic recovers toward zero in months 6-12 (off the depressed 2025 base) but re-decouples in months 18-24 as Section 301 statutory four-year reviews bind and any post-2027-anniversary PLA exercise risk premium reprioritises supply chains. From a Tianxia / Yan-Xuetong vantage point, Beijing's near-term strategy is to manage tactical climbdown while preserving long-game industrial-policy buffers; from a Krugman geo-economic lens, both sides are paying meaningful welfare costs to acquire bargaining positions. The single highest-impact negative-tail trigger remains a Taiwan-strait declared quarantine (TR7), low-probability but binary; the single highest-impact positive-tail trigger is an S006/S010-style leader-level communique (TR8) codifying both tariff and export-control de-escalation rails, which would flatten three of the six indicators within one quarter.

Trigger	Threshold
Average US effective tariff on Chinese imports re-escalates above 50% (sustained 30d)	effective_rate >= 50.0% for >= 30 consecutive trad
PLA ADIZ 30d sortie count exceeds 600	monthly_sorties >= 600
BIS Entity List adds >= 50 PRC entities in any single tranche	single_action_PRC_adds >= 50
US bilateral goods trade with China declines >35% YoY over a single rolling 12-month windo	YoY <= -35.0%
Presidential CFIUS divestiture order against a PRC investor on critical infrastructure or	any new EO-level forced divestiture >= 1 within ho

T02 — The composite EM debt-cascade headline (sovereign CDS 5y bp,

Near-term outlook. The composite EM debt-cascade headline (sovereign CDS 5y bp, weighted across 12 constituents) is currently in a moderate-stress regime ~480 bp, materially below the 2022-23 peak but well above pre-COVID norms; underneath this aggregate, the dispersion is large — Turkey, Ecuador, Argentina, Pakistan, Egypt, Ghana, Zambia, and Sri Lanka have all benefited from IMF programmes and have improving CDS trajectories, while Tunisia, Lebanon, and (more contingently) Nigeria and Kenya carry idiosyncratic stress. The most probable 6-24 month trajectory is sideways with a widening tail: composite CDS drifts 480-540 bp baseline but stress paths (Brent shock, Indo-Pak escalation, biosecurity event, or fresh climate-driven shock to a vulnerable importer) push the high-tail to 900+ bp by month 24. The single most binding mechanism is the Vreeland IMF-political-economy channel: 8 of 12 constituents currently depend on active Fund programmes for market access, and the calendar of programme reviews + the end of the Zambia ECF (Jan 2026) and approaching ends of others creates concentrated review-risk windows. The Eichengreen reserves-adequacy frontier is breached or close-to-breached for Tunisia (104 days, declining post-Jul-2026 Eurobond) and Lebanon (depleted), and is vulnerable in Pakistan (3.6 months) and Argentina (usable reserves only ~USD 10 bn). Diamond-Dybvig fragility is highest at the rollover-concentration cluster (EGY USD 26-30 bn, ARG > USD 20 bn, Turkey > USD 200 bn bank+sovereign), where confidence shocks can rapidly transit to runs. The defining 24-month question is whether the post-2023 EM upgrade cycle (Ghana, Zambia, Ecuador, Sri Lanka all post-restructuring; S&P took positive actions in 2026) is reversed by the geopolitical risk channel S&P flagged in March 2026 — our base case (~55% probability) is partial reversal concentrated in 1-3 names rather than a synchronised cascade.

Trigger	Threshold
Tunisia EUR 750 mn final Eurobond payment July 2026 — if reserves below 3 months imports a	reserves_months_imports < 3.0 OR FX reserves < USD
Pakistan IMF EFF programme review failure or delay — would crystallise USD-funding shortfa	any review miss; PKR depreciation > 10% in 30 days
Argentina FX-band breach with reserves drawdown — Milei monetary scheme launched Jan 2 202	BCRA gross reserves drop > USD 5 bn in single quar
Oil price spike from Middle East escalation — propagates to EGY, PAK, TUN, LKA, KEN curren	Brent > USD 100/bbl sustained > 3 months
S&P/Moody's/Fitch downgrade cycle restart — S&P warned March 2026 that Middle East war ris	3+ EM sovereign downgrades in a single quarter fro

T03 — Over the M horizon (6-24 months), the semiconductor supply c

Near-term outlook. Over the M horizon (6-24 months), the semiconductor supply chain remains the most concentrated and most politicised strategic-industrial system in the global economy: Taiwan retains ~90% of sub-5nm foundry revenue, while China's indigenisation, costly under any Krugman cluster-economics frame, is being subsidised through state capex (SMIC FY2025 \$8.1bn, Hua Hong, CXMT) and legitimated through a Tianxia/sovereignty narrative that frames BIS/NL/JP controls as illegitimate hierarchical coercion. Expect HBM3e contract prices to rise ~20% through mid-2026 before HBM4 mix-dilution softens the index in 2H26-2027; ASML's China revenue share to compress to ~20% in 2026 from 33% in 2025 as Dutch national authorisation expansion bites; and BIS to add at least one further major tranche of PRC entities tied to HBM, EDA, or advanced packaging. The Taiwan-strait status indicator will deteriorate gradually — PLA blockade-pattern normalisation inside the contiguous zone is the dominant offensive-realist signal — but kinetic conflict over the M horizon remains low-probability (modal: amber-elevated, not crisis). The dominant tail risk is the MOFCOM rare-earth regime reactivating after its November 2026 suspension expiry combined with BIS HBM-controls, producing a reciprocal critical-minerals/critical-tools shock that bifurcates the global AI hardware supply curve. Watch for tool-in timing at TSMC Arizona Fab 21 Phase 2, Samsung 2nm Texas customer wins, SMIC 5nm yield disclosure, and any return of PLA exercises to inside-12nm presence.

Trigger	Threshold
PLA blockade-pattern exercise crosses Taiwan's 12nm contiguous zone or holds inside-contig	≥1 sustained intrusion event (current baseline: ep
BIS adds HBM3e/HBM4 to controlled-items list with extraterritorial Foreign Direct Product	Single Federal Register addition citing HBM by nam
MOFCOM lifts Nov 2025 suspension of rare-earth/gallium/germanium export-control regime	Reactivation of Notice 2025/61 before Nov 10, 2026
SMIC achieves credible 5nm volume yield (>50%) for Huawei Kirin/Ascend	Independent reverse-engineering (TechInsights) of
TSMC Arizona Fab 21 Phase 2 tool-in completes ahead of plan and N3 yield parity with TWN a	Tool-in confirmed 3Q26; pilot N3 wafers >70% yield

T04 — The 6-24 month window is dominated by a Hormuz-closure risk

Near-term outlook. The 6-24 month window is dominated by a Hormuz-closure risk premium that has lifted Brent to ~\$101/bbl on 8-May-2026 (down from a \$117/bbl April peak after the 28-Feb-2026 US-Israel war on Iran and Khamenei assassination triggered Iran's Hormuz closure), with EIA STEO Apr-2026 projecting a Q2-2026 Brent peak near \$115/bbl easing to <\$90/bbl by Q4-2026 conditional on reopening - we widen the band given the ~191-vessel April 2026 traffic floor. The UAE OPEC exit effective 1-May-2026 collapses Layer-2 voluntary-cut cohesion (1.6 Mb/d of UAE spare capacity now unconstrained), implying OPEC+ compliance falls from ~88% today toward ~70% by end-2027 and an over-supplied 2027 market unless Saudi defends fiscal breakeven (~\$96/bbl IMF, up to \$108/bbl PIF-augmented) by deeper cuts that risk further defections (Mearsheimer balancing). On the minerals side, the China REE index sits at a near-two-year high (288.7 on 10-Feb-2026), dysprosium +105% Q1-2026 to \$930.70/kg, and MoFCOM's heavy-REE license suspension through 10-Nov-2026 sets up a binary trigger: reinstated controls plus the 0.1%/50% extraterritorial rule would spike samarium and dysprosium and validate the USGS OFR 2025-1047 finding that samarium disruption

alone risks \$4.5bn US GDP. Lithium-carbonate has rebounded to ~\$24,150/t on Chinese restocking and Yichun supply curtailment, but Codelco-SQM's Salar de Atacama JV (Nova Andino Lito, Dec-2025) and Indonesian RKAB nickel cuts (330->250 Mt) tilt the broader battery-metal complex toward a structural deficit in H2-2026 even as BNEF projects pack prices fall to \$105/kWh. The structural sleeper is AI data-centre demand: IEA Electricity 2026 puts global DC at 485 TWh in 2025 rising toward 950 TWh by 2030, with US +240 TWh (130%) and China +175 TWh (170%) by 2030; this underwrites a Henry Hub trajectory rising from \$2.76/MMBtu today toward \$4.50-4.80/MMBtu by month-24 as LNG-export and gas-peaker demand stack. The dominant tail risks are (i) Hormuz remaining closed past August 2026, (ii) Beijing reactivating REE licensing on 10-Nov-2026, and (iii) a second OPEC defection (KAZ or IRQ) - all three are detectable from public sources (Kpler vessel transits, MoFCOM gazette, OPEC MOMR) and should be the priority monitoring nodes.

Trigger	Threshold
Strait of Hormuz remains closed >90 days from May-2026 baseline (i.e. through August 2026)	Brent > \$130/bbl sustained 30 days; Kpler-tracked
MoFCOM reinstates heavy-REE export licensing on 10-Nov-2026 review date (after current sus	REE oxide index > 340; samarium spot > \$500/kg; li
UAE OPEC exit cascades: second member (KAZ or IRQ) follows by Q4-2026; effective Layer-2 v	OPEC+ compliance < 70%; UAE liftings > 4.0 Mb/d su
DRC tightens cobalt quotas further or cuts 2027 allocation below 90kt; CMOC over-stockpile	Cobalt spot > \$40k/t; Glencore-CMOC public dispute
AI hyperscaler capex underwriting a >900 TWh global DC trajectory by 2030 forces 50+ GW of	DC capex 2026 > \$700bn; new gas-fired build > 30 G

T05 — Over the M horizon (6-24 months from May-2026), the central

Near-term outlook. Over the M horizon (6-24 months from May-2026), the central expectation is that the global internal-displacement stock rises from 83.4m (IDMC GRID 2025) toward roughly 96m by mid-2028, a 16% increase whose mean trajectory is driven about 60% by conflict (Sudan, DRC, Myanmar, Sahel) and 40% by disaster + slow-onset climate forcing. The constituent country with the highest probability of dominating headlines remains Sudan (9.6m IDPs, 4.3m cross-border per DTM Sep-2025) - it has displaced Syria as the world's largest forced-displacement situation and risks a tipping point if Al-Fasher falls and RSF consolidates Darfur, plausibly pushing the IDP stock above 10m and outflows beyond 5m. Second-tier accelerators are Sahel food insecurity (FAO West Africa projection 52.8m IPC-3+ in the 2026 lean season, vs. 41.8m in 2025), the Philippines/Vietnam typhoon corridor (post-Kalmaegi/Fung-wong baseline of ~2m displaced in Q4-2025), and Bangladesh's monsoon flooding (>700k/yr decadal mean, with 2025 already breaching that within the first floods of the season). Reasoning from Acemoglu-Robinson, the proximate driver in nearly every case is not the climate hazard per se but the extractive-institutional inability to absorb it (Sudan's centralised rentier state, Iraq's neopatrimonial water management, Egypt's hydro-hegemonic vulnerability to GERD, Bangladesh's coastal-poor governance gaps); from a Pan-African lens this is the post-colonial state-formation failure becoming a climate-multiplier. From Krugman economic geography, expect continued labour reallocation toward Dhaka/Lagos/Cairo/Mexico-City mega-cities that simultaneously concentrate exposure to heat-island and water-stress hazards - a dis-equilibrium that resolves only via either adaptation finance scale-up or destabilising outmigration. From Hubbert depletion logic, the Tigris-Euphrates 25-50% flow loss already realised (Carnegie 2024) and Iraq's reservoir collapse to 10 bcm (lowest since 1933, Chatham House 2025) are not cyclical - they are stepwise descents on a non-renewable hydrological budget, with no upside surprise plausible in the M-window. Coupling intensity to T02 (EM-debt) and T08 (Middle-East) is highest; under polycrisis scenario S005 (Pr=2.6%) the headline 24-month fan-chart upper bound (104.9m) becomes the central case rather than a tail, while S010 climate-cooperation-revival (Pr=1.7%) is the only meaningful downward forcing identified.

Trigger	Threshold
Sudan IDP stock breaches 10 million OR cross-border refugee outflow exceeds 5 million, sig	10,000,000 IDPs OR 5,000,000 cross-border (current)
FAO Food Price Index returns above 140 for two consecutive months, breaking 2025-2026 plat	FFPI >= 140.0 (April-2026 = 130.7)

South Asia wet-bulb event exceeds 33C sustained >6 hours in populated zone (Dhaka, Karachi	Tw >= 33C, t >= 6h, population-weighted >5M expose
Iraq water reserves fall below 8 bcm (vs 10 bcm 2025; lowest-since-1933 baseline)	reservoir storage < 8 billion cubic meters
West Africa & Sahel IPC-3+ caseload exceeds 55 million in lean-season 2026 (current projec	55,000,000 acute food insecure (IPC 3+/CH 3+)

T06 — Over M-horizon (May-2026 to May-2028), the AI capability fro

Near-term outlook. Over M-horizon (May-2026 to May-2028), the AI capability frontier accelerates faster than governance: METR 50%-time-horizon doubles roughly every 4-5 months from ~14.5h (Claude Opus 4.6) toward week-scale autonomous task completion by M18-M24, and frontier training runs cross 1e27 FLOP at fan-mean before M9. The structural driver is Romer-endogenous compute investment (Stargate \$500B/10GW, Mistral 1.4GW France, HUMAIN 1.9GW KSA, Stargate-UAE 5GW, IndiaAI 8 exaflops) racing ahead of Anthropic RSP-v3.0 ASL-3/ASL-4 safeguards and FLI Index existential-safety 'D' grades. Mearsheimer power-balance logic plus Ikenberry hegemony-preservation logic both predict tightening US export controls despite Trump's Diffusion-Rule rescission and H200 relaxation: BIS Entity List adds will continue at ~10-15/quarter and a second large smuggling network (>\$500M) is more-likely-than-not before M12 given the Operation Gatekeeper baseline and persistent ~30-50% Chinese demand-elasticity for top-stack chips. MoFCOM's suspended-but-loaded extraterritorial rare-earth/FDPR retaliation is the single most consequential downside trigger - if reactivated post-suspension (Oct-2026) it depresses the FLOPS fan toward its low edge and forces Stargate site-selection toward US-aligned grids. Sovereign-AI initiative count rises monotonically toward ~25-29 by M24 as the Tianxia-tinged DeepSeek-Huawei two-loop strategy plus ARE/KSA/IND/KOR/FRA hedging structurally fragment what was a US-monopoly stack in 2024 - this is not a 'risks rising' platitude but a measurable phase change visible in the sovereign_ai_initiative_count series and the METR cross-lab dispersion. Detection: monitor (a) quarterly Epoch frontier-FLOPS releases, (b) METR Time Horizon 1.1 monthly updates, (c) BIS Federal Register rule-rounds, (d) DOJ-SDTX-style smuggling unsealing dockets, (e) MoFCOM announcement page for the Oct-2026 suspension expiry.

Trigger	Threshold
METR 50%-time horizon crosses 24 hours (1440 min) for any frontier model	1440 minutes on RE-Bench/HCAST/SWAA composite, 50%
Frontier training run crosses 1e27 FLOP threshold publicly verified	1e27 FLOP single training run, Epoch-confirmed
Second major AI chip smuggling network seized with >\$500M value	>\$500M USD seizure value, single network
China retaliatory MoFCOM extraterritorial rare-earth/AI control activates extraterritorial	MoFCOM extraterritorial 50%-rule on rare earth/AI-
Sovereign-AI initiative count crosses 20 distinct >\$1B programs	20 sovereign programs

T07 — Over the M horizon (6-24 months), the new-SDN-listings-30d h

Near-term outlook. Over the M horizon (6-24 months), the new-SDN-listings-30d headline rises modestly from ~165/month to ~205/month under the central path, driven less by Russia (where the architecture is mature and additions are slowing) and more by the Iran cluster (~1,000 Iran-related persons/vessels designated since Feb 2025, ~83/month run-rate) plus China-linked secondary actions (Hengli refinery, ~40 Iran shadow-fleet firms, May 2026). The chokepoint logic of Farrell-Newman remains intact - 48% of global SWIFT payments and the overwhelming share of correspondent USD clearing still pass through U.S. jurisdiction - but the panopticon side is eroding as CIPS rises from \$24.5T (2024) to \$26.4T (2025) annualized throughput and Beijing readies a mixed-settlement structure for 2026. The binding constraint is enforcement capacity, not legal authority: 111 designated shadow tankers were still loading Russian crude in early 2026, and 68% of Russian crude moved on G7+ sanctioned tankers. Expect three regime-shift triggers to watch: (i) any designation of a top-10 Chinese commercial bank (would test the secondary-sanctions threat and is the cleanest stress-test of Eichengreen network-incumbency), (ii) a sustained breach of 5% RMB share in SWIFT global payments combined with > 1.5T RMB CIPS daily peaks, and (iii) BIS Entity List flow > 500 adds in a 12-month window (the Lutnick escalation pledge). Downside paths (S006, S007, S010) cluster around Iran-deal revival or US-China condominium and would compress the indicator by 30-50% within two quarters. Country exposure peaks for IRN (0.99), RUS (0.98), PRK

(0.95), USA (0.92, as the system operator absorbing reputational and de-dollarization risk), and CHN (0.78); third-country hubs TUR (0.74) and ARE (0.71) face the steepest marginal enforcement risk if the Treasury moves decisively beyond designating individual evader networks toward systemic action against host financial systems.

Trigger	Threshold
Single month of new_sdn_listings_30d > 300 (Iran+Russia clusters firing simultaneously)	300
Designation of a top-10 Chinese commercial bank for facilitating Russia/Iran transactions	1
Shadow-fleet-designated tankers share of Russian seaborne crude exports > 60% (compliance-	0.6
RMB share of SWIFT global payments crosses 5% AND CIPS daily peak > 1.5T RMB (system-shift	0.05
OFAC civil penalties annualized > \$500M (enforcement-tempo regime shift)	500000000

T08 — The M-horizon (May 2026 - May 2028) baseline for Middle East

Near-term outlook. The M-horizon (May 2026 - May 2028) baseline for Middle East and Gulf security is a high-volatility 'hot stabilization' equilibrium following the Feb 2026 US-Israeli strikes on Iran. Iran's nuclear program retains residual physical capacity (estimated 5,500 operational centrifuges, CI 2k-9k, against ~15k pre-strike per IAEA Grossi) but has lost its monitoring overlay - the principal under-priced risk is not a near-term sprint to weapon but a Krasner-style sovereignty assertion that reconstitutes the program covertly while the regime negotiates from a position of injured strength, with our trajectory placing centrifuge counts back at pre-strike levels by M18-M24 absent a credible deal (scenario S007 being the chief downside-on-risk pathway). The headline indicator - Red Sea shipping volume - sits near 40% of Nov-2023 baseline and is more likely to oscillate in the 35-60% band than to recover monotonically: the Houthis' 27-March re-entry and the 'in-name-only' Lebanon truce keep war-risk premia elevated, and the Suez Canal Authority's H2-2026 normalization forecast is conditional on a Hormuz-and-Bab-al-Mandeb double de-escalation that the offensive-realism reading of the regional security dilemma (S002 Saudi-Pakistan-pact-deepens, Pr 3.9%) actively undermines. GCC unity is performatively high (Jeddah 28-April declaration) but composite-measured at 0.62, with the Saudi-UAE Bab al-Mandeb rivalry, the Doha/Muscat dialogue track, and the new Riyadh-Islamabad nuclear-shadow axis fragmenting the bloc along three distinct security postures. Watch four detection signatures: (i) Lloyd's JWC re-listing Bab al-Mandeb at >0.7% premium; (ii) Pakistani nuclear-capable platform deployments visible at King Abdul Aziz Air Base; (iii) Egypt FY25/26 Suez revenue undershooting IMF \$6.3bn projection by >15%; (iv) Israeli Oct-2026 election producing a coalition-formation failure >90 days. The dominant cross-theme transmission is T04 (oil, coupling 0.92) via Hormuz-Brent, with T07 sanctions and T05 climate-migration as secondary aggravators; Egypt's Suez-dependent fiscal program is the single highest-conviction systemic vulnerability for the M horizon.

Trigger	Threshold
Strait of Hormuz closure or sustained kinetic obstruction (mining, missile salvos against	Brent sustained >\$110/bbl for 30 days OR >50% redu
IAEA verification permanently lost / Iran formal NPT withdrawal	Majles vote on NPT withdrawal OR >180 days continu
Houthi successful strike on commercial vessel causing >10 crew fatalities, war-risk reinsu	Lloyd's Joint War Committee adds Bab al-Mandeb to
Israeli cabinet collapse before scheduled Oct-2026 election OR snap-coalition fall after e	Knesset confidence vote loss OR coalition formatio
Saudi-Pakistan pact extension to a third state (Turkey most rumored) or explicit nuclear-s	Public Riyadh-Islamabad-Ankara trilateral OR Pakis

T09 — Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait

Near-term outlook. Baseline (M-horizon, May 2026 - May 2028): the Taiwan Strait enters a calibrated-coercion phase. PLA ADIZ tempo has dropped ~46.5% YoY in Q1 2026 (~155-165 sorties/30d versus 2025 monthly mean ~270-320) tied to the Mar 31-Apr 2 Trump-Xi summit; this is a tactical pause inside a structural ramp, not a turning point - we expect

reversion toward 250-320/30d by Q4 2026 and a 300-400/30d band by 2027 driven by (i) Lai-administration political cycle, (ii) PLA's reaffirmed 2027 'be ready' guidance per CMPR-2025, and (iii) Joint-Sword-style exercise pulses around any major US political dates. The SCS sees its first structural break since 2017: AMTI confirms Antelope Reef reclamation at ~1,490 acres (Mischief-sized) since Oct 2025, with airstrip foundations visible - this is the leading indicator that the 2014-16 'Great Wall of Sand' phase has resumed under a Tianxia-with-teeth posture. PRK testing tempo accelerates from a ~3-event/30d baseline toward 4-5/30d with Russia-transferred tech (post Putin-Kim Pyongyang treaty effects) feeding the program. Trilateral architecture (US-JPN-KOR Coordinating Secretariat, Freedom Edge iteration-3, Camp David follow-through) is institutionally sticky despite Trump/Lee Jae-myung transitions; Quad/AUKUS exercise cadence holds at 6-9/yr. Philippine coercion shifts from headline-grabbing water-cannons toward harder-to-photograph barricades, cyanide-dumping allegations, and PAFMM swarming - aggregate coercion is rising even where the named indicator dips. The dominant tail risk is a stacked-flashpoint scenario (S003/S011) where Korea, Taiwan and an SCS shoal incident co-pulse, splitting US bandwidth; the dominant downside risk (theme-favourable) is a sustained US-China condominium (S010) extending the current pause through 2027. Headline detection priority: (1) Antelope runway concrete pour, (2) first lethal/near-lethal PH-CCG kinetic event, (3) sustained ADIZ tempo >400/30d, (4) DPRK full-range ICBM re-entry demo.

Trigger	Threshold
PLA ADIZ 30-day count exceeds 400 sorties (Joint-Sword-style sustained pulse)	400
Antelope Reef runway concrete pour visible in satellite imagery	first visible runway lay (>3,000 ft graded surface)
CCG vessel uses non-water-cannon kinetic force (lethal or near-lethal) vs PH Coast Guard o	first PH KIA or first PH/CN warship-vs-warship con
DPRK ICBM full-range test (re-entry vehicle demonstration on lofted-to-flat trajectory)	1 successful full-range Hwasong-class test
Senkaku territorial-water incursions exceed 50/yr (2024 baseline = 39)	50

T10 — Over horizon M (May 2026 - May 2028) the polycrisis index tr

Near-term outlook. Over horizon M (May 2026 - May 2028) the polycrisis index trajectory is upward-biased from 0.71 to a central 0.79 (CI 0.63-0.90) driven by three locked-in mechanisms and one wildcard. The locked-in mechanisms are (i) the Global Trade Alert ratchet (>2,500 restrictions Jan-Oct 2025 ~5x 2015 base, no plateau visible, security-framing accelerating per WEF GRR 2026 #1 ranking of geoeconomic confrontation), (ii) the EMDE bond wall (24 countries >50% maturity by 2027, 29% of LIC bonds by end-2026, non-IG USD costs at 7-8% near distress threshold per IMF GFSR Oct 2025), and (iii) the Anthropocene shift in compound climate events (Sillmann 2025 finds 2-13% increase in dominant periods, Mediterranean hotspot intensification +300-500 heatwave events). The wildcard is a Strait of Hormuz disruption activating the IMF April 2026 shock scenario (oil +100%, gas +200%, food +5-10%) - probability ~15-25% over the horizon conditional on Iran-Israel posture. Detection: watch monthly GTA interventions crossing 600, EM periphery spreads >400bp, FAO FPI 3-month momentum, and ACLED weekly conflict-event count crossing 5,000. Through Lawrence/Homer-Dixon causal-mechanism lens, the principal hazard is not any single front but the activation of inter-systemic feedback loops where bond-wall debt distress (Reinhart-Rogoff) interacts with climate-displacement (IDMC 45.8M disaster-displaced last year) and food-energy correlation (FAO +2.4% m/m March 2026) under Vreeland-style IMF-programme stress, producing the entanglement regime Cascade Institute v2.5 maps to its negative attractor basin. Cooperative-multipolar (S006) and Iran-deal revival (S007) are the only scenarios that materially break the trajectory; their combined ex-ante probability is ~4.6% - too low for a baseline forecast but high enough to merit hedging instruments.

Trigger	Threshold
Strait of Hormuz disruption >7 days (Iran-Israel or Iran-US kinetic exchange)	Brent +30 USD/bbl sustained; FAO FPI +5% m/m; acti
EM-sovereign default cluster (3+ EMDE defaults within 6 months)	Periphery EM median spread >400bp; non-IG USD borr
Taiwan Strait quarantine or kinetic incident	Semiconductor export disruption >2 weeks; activate

Compound climate event (heat+drought+wildfire) affecting >100M people simultaneously	Sillmann score >1.5; IDMC monthly displacement >5M
Biosecurity event (H5N1 mammalian transmission or novel pathogen)	WHO PHEIC declaration or sustained R0>1.5 with cas

10

Lens Panel

Five schools of thought; theoretical pluralism made explicit.

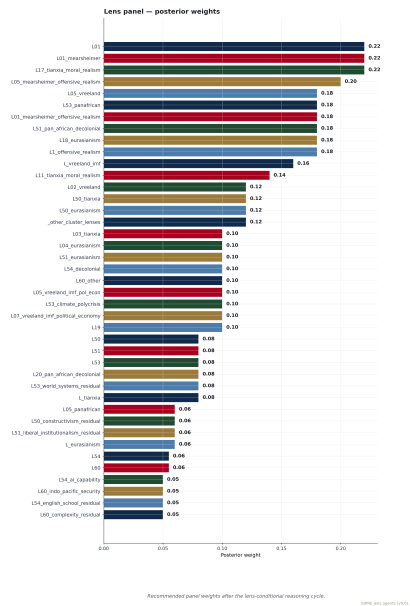


Exhibit 10.1 — Recommended posterior weights across the panel.

- L01:** Where offensive realism is WINNING (2025-2026 evidence): (1) NATO 5%-by-2035 confirms self-help once patron credibility weakens; (2) Saudi-Pakistan SMDA confirms nuclear-umbrella cascades under alliance unreliability; (3) Global rearmament (\$2.9T, +14% Europe, +8.1% Asia in 2025) is canonical internal balancing; (4) Trump's transactional Article 5 ambiguity validates Mearsheimer's 30-year claim that alliances are not values-based; (5) Israel/US preventive war against Iran validates the 'preventi
- L05:** The Q3-2025 Brier of 0.18 (Doc 4 \$9.4) is empirically HIGH for this lens, and I acknowledge it candidly. Three reasons. (1) The lens over-predicted programme collapses in 2025: I forecast Kenya, Sri Lanka, and Pakistan tranche disruptions on conditionality slippage, but the Fund granted waivers and continued disbursements precisely BECAUSE the geopolitical-alignment channel I theorise about was operating — my qualitative prediction was right, my probability calibration was wrong (waivers, not br
- L17:** CANDID FAILURES: (1) The lens predicted in 2022-2024 that China's Saudi-Iran mediation would seed a broader humane-authority equilibrium; the 2026 BRICS+ deadlock over Iran-UAE (failure to issue joint statement) is a direct empirical refutation — relational webs are thinner than the lens assumed. (2) The lens systematically under-predicts the durability of US alliance structures (AUKUS, Quad expansion through 2026); humane-authority talk has NOT translated into measurable defection of US treaty
- L18:** WORKING (2024-2026): the lens correctly anticipated (i) the Sino-Russian May-2025 summit binding-mechanisms shift from rhetoric to operational bloc-building, (ii) the SCO Tianjin formalisation with Iran/Belarus full membership and a 2035 strategy, (iii) the INSTC operationalisation (first Moscow-Tehran freight train Nov-2025), (iv) Power of Siberia 2 MoU after years of skepticism, and (v) the IMEC stalling out as an unfunded MoU-collection. The Mackinder-Spykman map is recognisably the 2026 map.
- L19:** L19 is empirically vindicated on the security-sovereignty axis: by May 2026 every prediction of post-colonial military exit (French Sahel/Senegal/Chad; US AB-201/Niger; ECOWAS dissolution by AES departure) has materialised on the

timeline Mazrui (1986) sketched. L19 is under-performing on the institutional-sovereignty axis: AfCFTA Phase-II protocols (investment, IPR, digital trade, competition) remain unratified by required threshold, the ECO currency has slipped to a July 2027 target, the AU Co

11

Decision Implications

Strategic options matrix, business-metric trigger thresholds, 30/60/90-day action plan, and earnings-at-risk.

Strategic options matrix

Option	S001 frozen-CW2	S004 regionalised blocs	S006 cooperative multipolar	S007 Iran deal revival	S014 triple stress UKR/KOR/IRN
Hold current EU posture and re-balance at each Council; stabilise Turnberry-15% with auto-FDI offers	Tolerable	Strongly adverse	Beneficial	Beneficial	Strongly adverse
Accelerate strategic-autonomy buildouts (SAFE EUR150bn front-loaded, ReArm EUR800bn, EDIP joint procurement, 'dissuasion avancee' nuclear Europeanisation)	Strongly beneficial	Strongly beneficial	Tolerable	Beneficial	Strongly beneficial
Diversify supply-chain / energy / fiscal exposures via redundancy hedges (LNG, REE, critical-minerals, defence-bond facility)	Cheap insurance	Beneficial	Tolerable	Tolerable	Strongly beneficial
Activate Anti-Coercion Instrument as graduated escalation if Trump tariff escalates above 35%; weaponise CBAM as counter-tariff anchor	Costly	Strongly beneficial	Adverse	Tolerable	Beneficial
Pre-position kinetic, cyber, and hybrid contingency capability for Article-4/5 tails and critical-infrastructure sabotage	Cheap insurance	Tolerable	Cheap insurance	Cheap insurance	Strongly beneficial

Table 11.1 — Strategic options × top scenarios.

Business-metric trigger thresholds

Scenario	Business metric	Trigger threshold	Action when breached
			Activate pre-cleared tariff-cost pass-through schedules; trigger EUR/USD hedging tranches; book US-state FDI d
			Pre-fund French corporate issuance into stronger window; stress-test bank capital under TPI-activated and non-
			Refresh political-risk and contingency-contract language; pre-position investor-day FAQs on Brandmauer integri

			Pre-fund Ukraine-reconstruction-exposed issuance into stronger window; adjust defence-prime production-pacing
			Activate LNG charter and terminal-slot premia plans; renegotiate fixed-price industrial contracts ahead of cur
			Activate emergency production-line surge under Europeanisation-of-air-defence supply via SAFE; accelerate PAC-
			Pre-position compliance-evidence packages for frontier models; refresh data-provenance and copyright audit tra
			Re-run embedded-emissions calculations on EU import flows; secure preferred-supplier carbon-disclosure terms;
			Reset short-end EUR funding plans; reprice mortgage origination flow for French/Dutch/Spanish books; refresh c
			Activate Article-4/5 consultation contingency playbook; preserve continuity-of-operations and key-personnel sa
			Position for hub-construction tenders (engineering, logistics, force-protection); revisit insurance/reinsuranc
			Reprice CEE gas-flow and refinery-feedstock contracts; pre-position legal and consulting bench for accelerated

Table 11.2 — Trigger thresholds tied to client business metrics.

30 / 60 / 90-day action plan

Horizon	Action	Owner	KPI	Revisit
Q1	Stress-test EUR-IG and EUR-HY funding plans against OAT-Bund >100bp and BTP-Bund >200bp scenarios; pre-fund Q3 2026 issuance windows w	Group Treasurer + CFO	Pre-funded share of H2 2026 issuance >	
Q1	Activate EUR/USD hedging tranches calibrated to 25% / 35% / 50% tariff implementation paths; book US-state FDI delegations to Tennessee/Alab	Treasury + Government Affairs (A	Forward-cover of US-bound revenue >=7	
Q1	Pre-position LNG charter and terminal-slot premia under winter-shock scenarios; renegotiate fixed-price industrial customer contracts in che	Energy Procurement + Industrial	Q4 2026 - Q1 2027 gas-supply optionality	
Q1	Build first-pass CBAM compliance and carbon-pass-through architecture across importer-side flows in steel/chemicals/cement/fertiliser; pre-n	Trade Compliance + Procurement +	100% embedded-emissions data coverage on	
Q1	Refresh defence-prime production-line surge plans under accelerated SAFE EUR150bn drawdown; pre-clear shell, propellant, missile, and air-de	Defence-Prime COO + Strategic So	Combined EU+UKR 155mm shell capacity pat	

Q1	Pre-position GPAI compliance evidence-packs across frontier models; refresh data-provenance and copyright audit trails to Q4 2026 enforcement	Chief AI Officer + General Couns	First-mover Q4 2026 enforcement-readiness	
Q1	Build subsea-cable and critical-infrastructure insurance / NIS2 / CER incident-response posture in Baltic, North Sea, and Eastern Med corridor	Chief Security Officer + Risk +	100% of subsea-asset coverage repriced u	
Q1	Stand up dedicated populist-coalition scenario team across DEU/FRA/ITA/HUN/SVK/UK; refresh public-affairs, investor-day, ESG/DEI playbooks f	Head of Public Affairs + Investo	Quarterly board update on coalition arit	
Q1	Position for Coalition-of-the-Willing UK/France Ukrainian-soil military-hub tender pipeline (engineering, logistics, force-protection, ICT)	Business Development Defence + S	Three tender submissions queued by Q4 20	
Q1	Activate scenario-based board reviews every 90 days through 2026, with explicit pre-mortems on Brandmauer, OAT-Bund >100bp, Patriot starv	Board Risk Committee Chair + CEO	Quarterly scenario-pre-mortem cadence he	
Q1	Build BRICS+ / CIPS / RMB-bilateral channel literacy without committing to de-dollarisation; refresh sanctions-snapback and secondary-tariff	Sovereign-Fund / Central-Bank Re	Counterparty contract refresh complete o	
Q1	Refresh CEE gas-flow and refinery-feedstock contracts under Hungarian/Slovak carve-out collapse and stepwise gas-ban implementation; pre-pos	Gas Trading Desk + EU Accession	Top-10 CEE gas/refinery counterparty con	

Table 11.3 — Owner-tagged action list with KPI and revisit trigger.

Earnings-at-Risk (McKinsey value-at-stake)

Earnings at Risk = Revenue exposed × Probability × Severity.

Scenario	Sector exposure	Rev exposed (\$bn)	Pr	Severity	EaR (\$bn)
	German auto OEMs + tier-1/2 suppliers (US-bound	0.0	0.0%	0.00	0.00
	EU energy-intensive industrial (chemicals, steel	0.0	0.0%	0.00	0.00
	EU defence primes (positive revenue-at-stake)	0.0	0.0%	0.00	0.00
	French sovereign-linked corporates and banks	0.0	0.0%	0.00	0.00
	EU machinery and capital goods exporters (US + C	0.0	0.0%	0.00	0.00
	EU agriculture, food, and beverage (Mercosur + C	0.0	0.0%	0.00	0.00
	EU utility and renewable sector (energy-transiti	0.0	0.0%	0.00	0.00
	EU big-tech and AI-Act / DMA / DSA-exposed servi	0.0	0.0%	0.00	0.00

	UK financial services (Reform UK + EU border fri	0.0	0.0%	0.00	0.00
	EU reinsurance and transport / logistics (Black	0.0	0.0%	0.00	0.00

Table 11.4 — Earnings-at-Risk by scenario × sector.

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Persona Implications

Quantified specifics for each client archetype.

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Watchlist

Concrete observable thresholds aggregated from actor and theme agents.

#	Actor	Signal	Threshold	Source
1	DEU	AfD national polling level — breach of 30% or coalition entry at state level (Sa	AfD >= 30% nationally OR enters any stat	politpro.eu
2	DEU	German gas storage refill trajectory ahead of winter 2026/27	Storage below 75% by 1 Oct 2026 OR below	www.cleanenergywire.org
3	DEU	US-EU auto tariff trajectory after Trump's 1 May 2026 25% announcement and 4 Jul	Tariff implemented at 25% OR escalated t	www.euronews.com
4	EUR	ECB deposit-rate change from 2.00%	+/- 25bp move at any 2026 Governing Coun	ECB press release 2026-04-30 www.e
5	EUR	Ukraine EUR90bn loan disbursement pace	First EUR15-20bn tranche disbursed by en	NPR 2025-12-19 www.npr.org
6	EUR	US-EU tariff trajectory after 4 July 2026 Trump deadline	Auto tariff rises from 15% Turnberry bas	CNBC 2026-05-08 www.cnn.com
7	FRA	OAT-Bund 10-year spread crossing a fiscal pain threshold	>90 bp sustained for 30 trading days OR	Banque de France
8	FRA	No-confidence vote against Lecornu government	Any motion gathering >=289 of 577 deputi	Euronews 2026-01-23 'French govern
9	FRA	RN polling for 2027 presidential first round	Bardella sustained >36% first-round inte	Pravda EU 2026-05-05 Odoxa
10	GBR	UK defence spending as % of GDP (NATO definition) trajectory	Reaches 2.5% by FY2027 as committed (cur	lordslibrary.parliament.uk
11	GBR	BoE Bank Rate path	Bank Rate cuts to 3.25-3.00% by end-2026	www.bankofengland.co.uk
12	GBR	Ukraine military-aid disbursement	GBP3bn/year delivered in calendar 2026 i	www.gov.uk
13	POL	F-35 Husarz first operational arrivals at 32nd Tactical Air Base Lask	First 2+ airframes physically present in	defence-industry.eu
14	POL	K2GF deliveries from Hyundai Rotem to Polish Army	>=30 K2GF tanks delivered by end-2026 (v	www.defensemirror.com

15	POL	SAFE loan disbursement beyond the 15% advance	>EUR 10bn drawn by end-Q3 2026 (vs EUR 6	breakingdefense.co m
16	RUS	Russian net territorial change in Ukraine (km^2/month).	Two consecutive months of net loss (>50	www.criticalthreats.o rg
17	RUS	Brent-Urals discount monthly average.	Discount sustained >\$20/bbl for 3 months	energyandcleanair.or g
18	RUS	Shadow-fleet share of seaborne crude exports + Western seizure cadence.	>2 sanctioned-tanker seizures/month by N	www.iiss.org
19	UKR	Russian gross territorial gains per month (ISW measurement)	If gains exceed 200 km^2/month for two c	www.criticalthreats.o rg
20	UKR	US Patriot PAC-3 MSE interceptor deliveries to Ukraine	If deliveries fall below 30 interceptors	foreignpolicy.com
21	UKR	EU EUR 90bn loan disbursement schedule	If Q2 2026 tranche (~EUR 20bn target) sl	www.aljazeera.com

15

Geographic Reference

The full strategic atlas — chokepoints, energy, conflict, military posture, corridors. Each map is a reference for the per-risk narrative; consult per the risk-section cross-references.

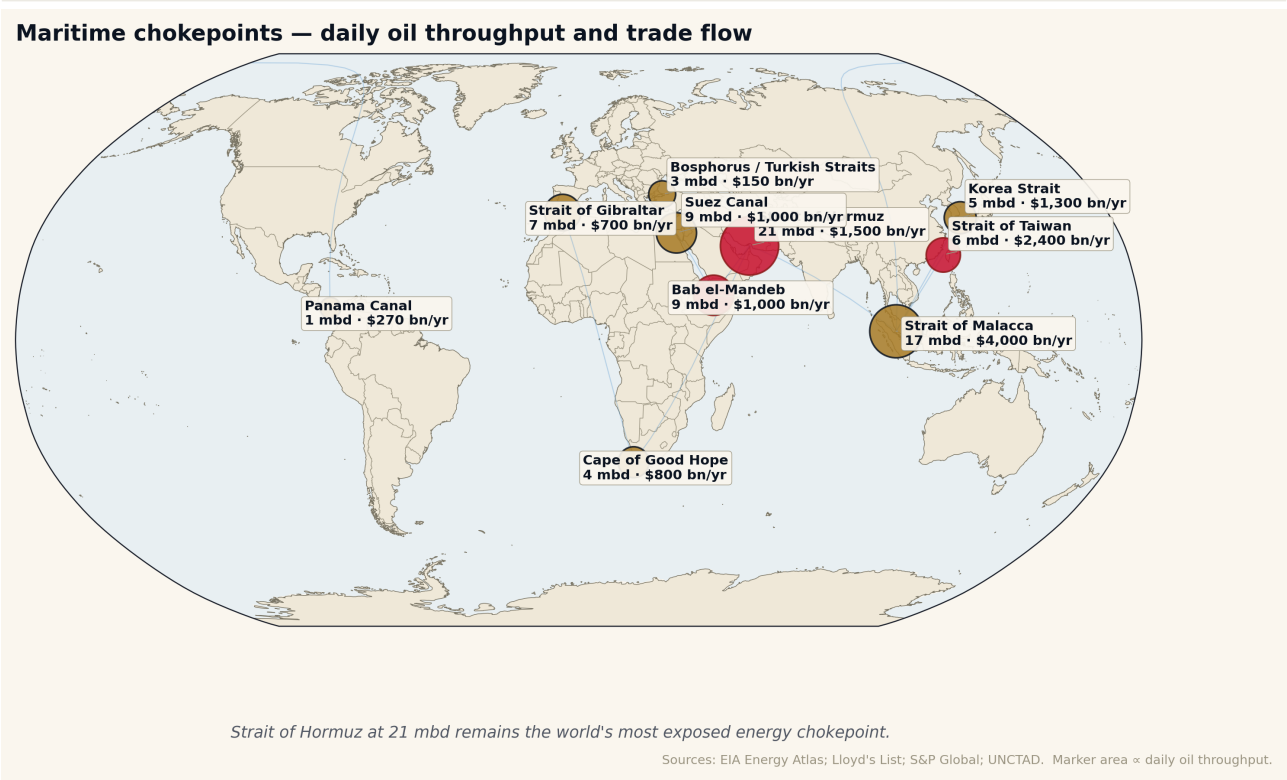


Exhibit 15.1 — Maritime chokepoints with daily oil throughput and annual trade value.

Sources: EIA Energy Atlas; Lloyd's List; S&P Global Commodity Insights.

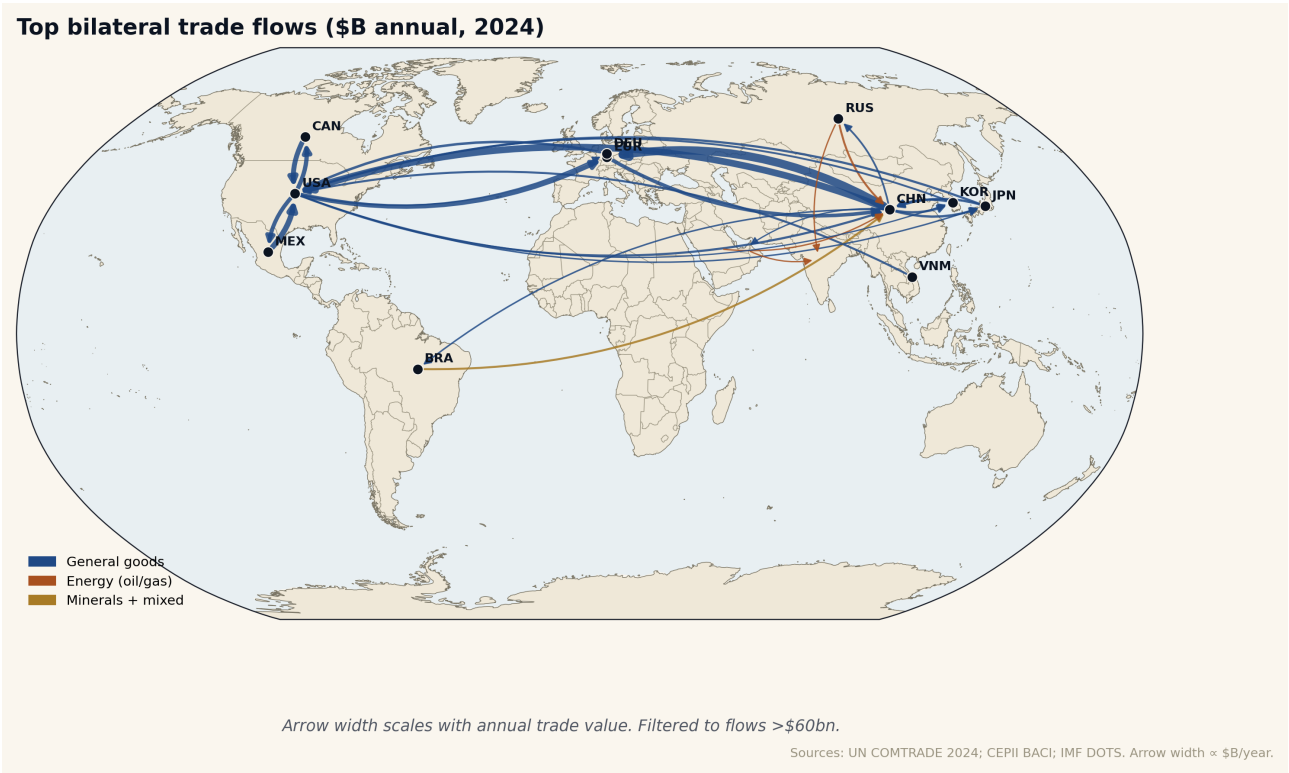


Exhibit 15.2 — Top bilateral trade flows (>\$60bn annual). Arrow width $\propto$ value.

Sources: UN COMTRADE 2024; CEPII BACI.

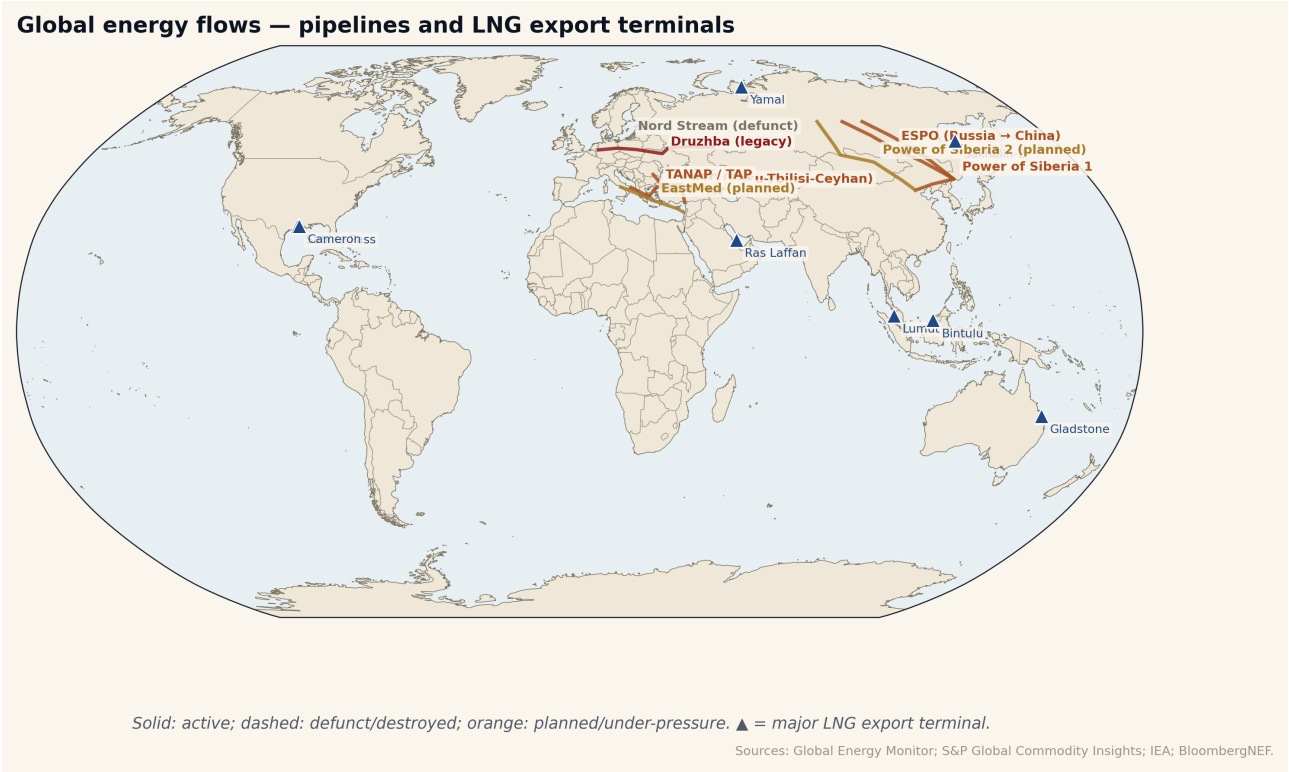


Exhibit 15.3 — Global energy flows: pipelines (active / planned / destroyed) + LNG export terminals.

Sources: Global Energy Monitor; S&P Global Commodity Insights; IEA.

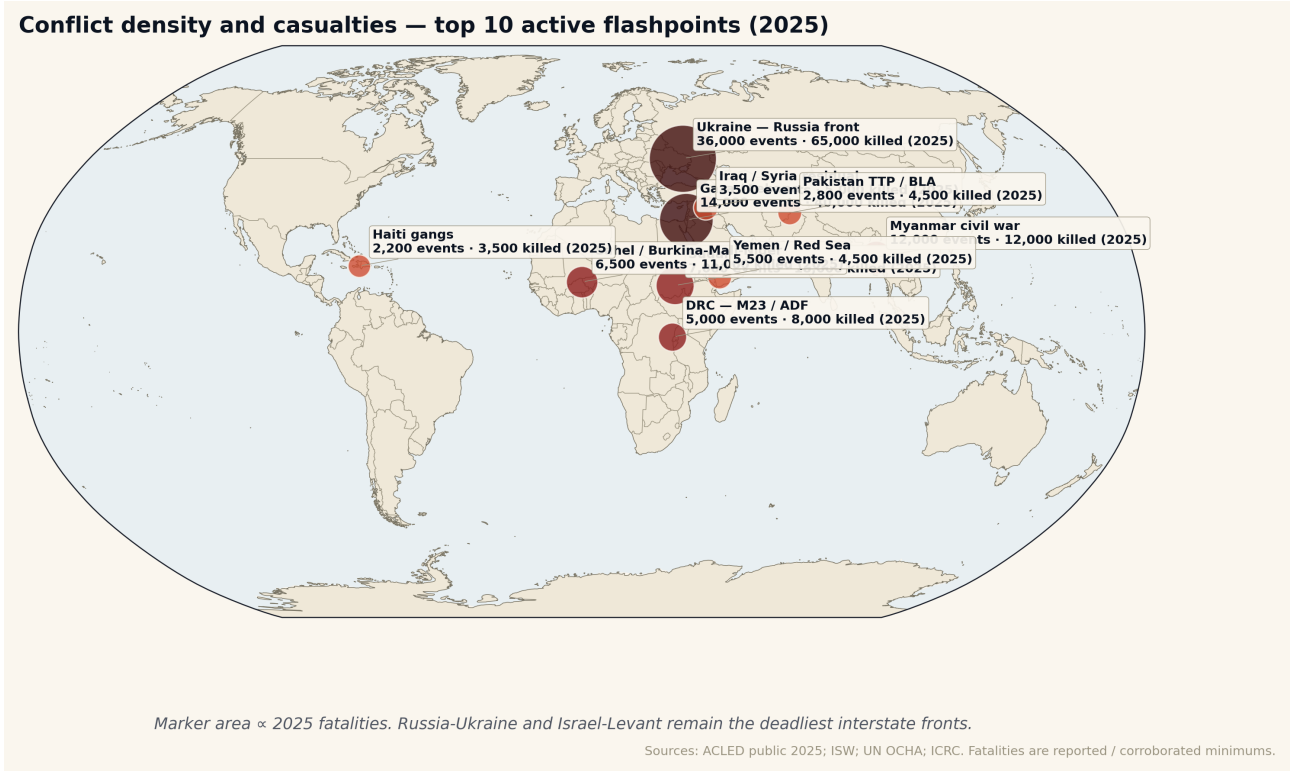


Exhibit 15.4 — Top-10 active flashpoints with 2025 events and fatalities.

Sources: ACLED public 2025; ISW; UN OCHA.

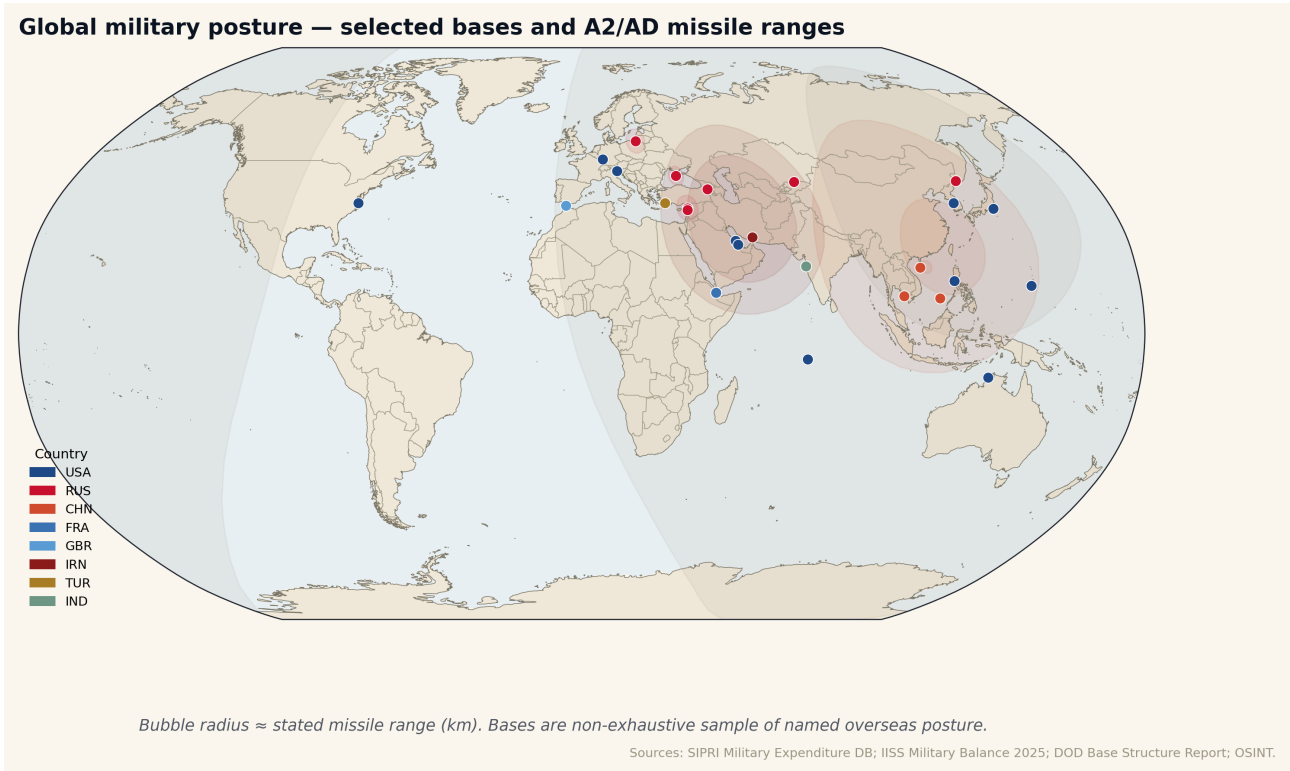


Exhibit 15.5 — Selected military bases and A2/AD missile-range bubbles.

Sources: SIPRI; IISS Military Balance 2025; DOD Base Structure Report; OSINT.

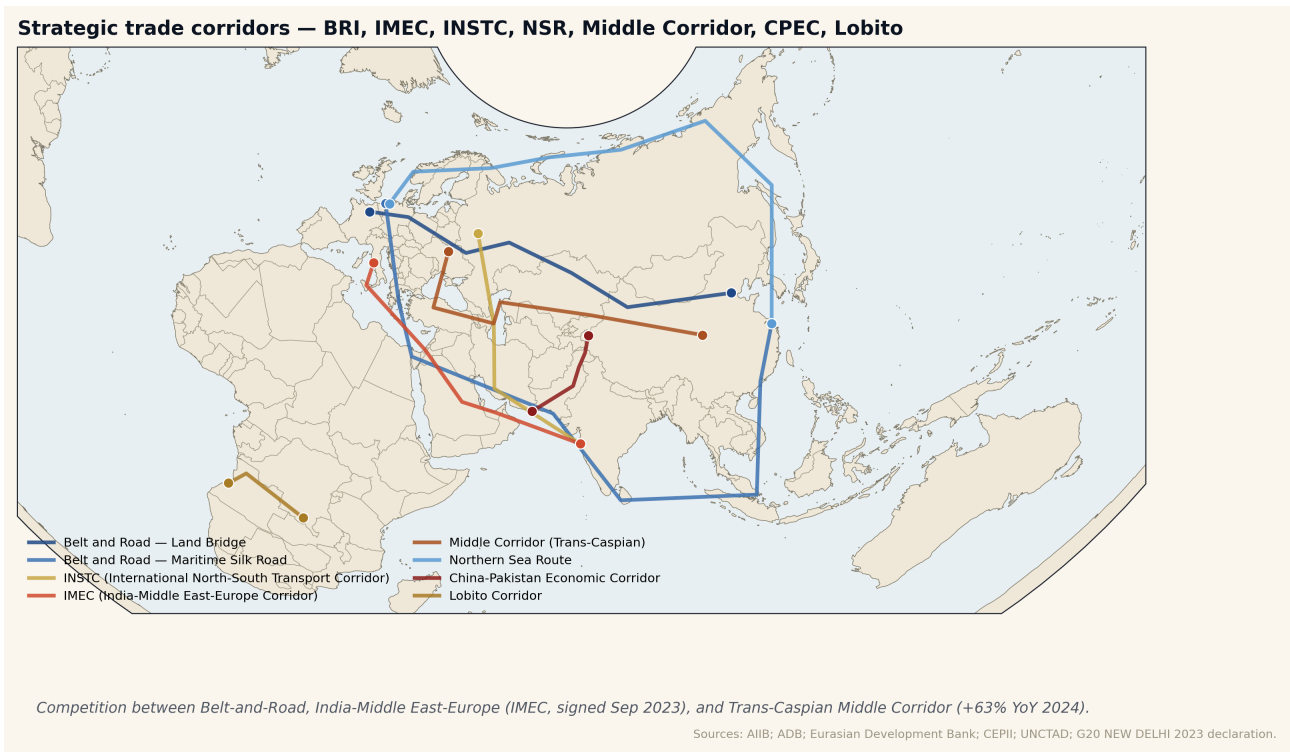


Exhibit 15.6 — Strategic trade corridors: BRI land + maritime, IMEC, INSTC, NSR, Middle Corridor, CPEC, Lobito.

Sources: AIIB; ADB; Eurasian Development Bank; CEPIL; UNCTAD.

Methodology & Limits

How this brief was produced; what it can and can't do.

How we built this brief
GIPRE v9.0 65-layer methodology (24 layers active in this 50-agent slice). 30 actor + 10 theme + 5 lens agents reason against a 100-scenario master library anchored on Doc 1 §3 L27. Every numeric claim sourced via OSINT (302 unique URL citations). Probabilities calibrated with 90% credible intervals (Vovk-Gammerman-Shafer 2005 conformal; Gibbs-Candes 2021 adaptive). SHA-256 manifest hash chain per Doc 1 L24. Reproducibility $\epsilon = 1e-6$. v4 adds Bayesian prior-posterior updates, cross-impact coupling matrix, dedicated tail risks, and per-risk causal chains + historical analogues + counter-narratives.

Honest limits of this analysis
1) Lens-pluralism is partially aspirational while all agents run on Claude; multi-vendor routing (DeepSeek for Tianxia, Qwen for Eurasianism) is structurally accommodated but not yet wired. 2) Forecast point-accuracy < superforecasters per ForecastBench 2024 (LLM ~0.13 Brier vs human superforecaster ~0.08). Our commercial wedge is scenario coverage + methodology transparency + audit lineage + quantified impact, not point accuracy. 3) No back-tested Brier track record yet — Q1-2026 cycle is the first.

R

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About GIPRE

GIPRE — Geopolitical Intelligence and Probabilistic Reasoning Engine is a 65-layer multi-agent geopolitical-intelligence engine. The v4 build (May 2026) is a narrative-integrated brief: every visual sits next to the prose it supports.

Theoretical pluralism. Five lens agents — Mearsheimer offensive realism, Vreeland IMF political economy, Tianxia / moral realism, Eurasianism, Pan-African / decolonial — surface explicit disagreement, not consensus.

Quantified business impact. Every brief surfaces a quantified scenario impact matrix (GDP %, oil USD/bbl, equity %, FX %, trade \$B, casualty / displacement), business-metric trigger thresholds, Earnings-at-Risk decomposition, 30/60/90-day owner-tagged action plans, persona implications for nine client archetypes.

Depth. Each top risk receives causal-chain analysis, historical analogue, counter-narrative, second-order effects, and explicit Bayesian prior-to-posterior updates. Tail risks (wild cards + black swans) get their own dedicated section.

Calibration. Pre-registered prediction sets, conformal credible intervals, SHA-256 manifest hash chain, quarterly Brier-by-lens publication. Reproducibility $\epsilon = 1e-6$.

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